TOURMALINE OIL CORP.



BUY Recommendation

Sector: Oil & Gas Exploration and Production

Target Price: $65.47 (12.2% Upside)

Ticker: TOU (TSX)

Current Price as of Jan 8, 2026: $58.35

Recommendation

We issue a **BUY** recommendation with a price target of **$65.47**, representing a **12.2%** upside.

1. **TOU is advancing core asset growth through strategic investment**
2. **TOU's disciplined approach to capital allocation enhances its position as a cost leader**
3. **TOU is positioned to capitalize on the growth of Western Canadian gas consumption**

BUY

12.2% upside

Target Price:

$65.47

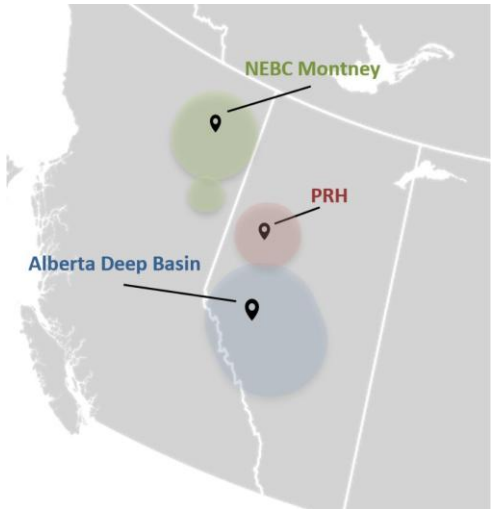
Business Overview

TOU is Canada's largest natural gas producer, focusing on the acquisition, development, and production of crude oil, natural gas, and natural gas liquids.

Current average production **of 630,000** – **635,000** boe/d

Developed extensive land position (multi-year drilling inventory, transportation/infrastructure)

Three Long-Term Growth Areas



Source: Company filings

TOU's Exploration and Production program focuses on growth in **three core asset areas**, including the Alberta Deep Basin, NEBC Montney, and Peace River High.

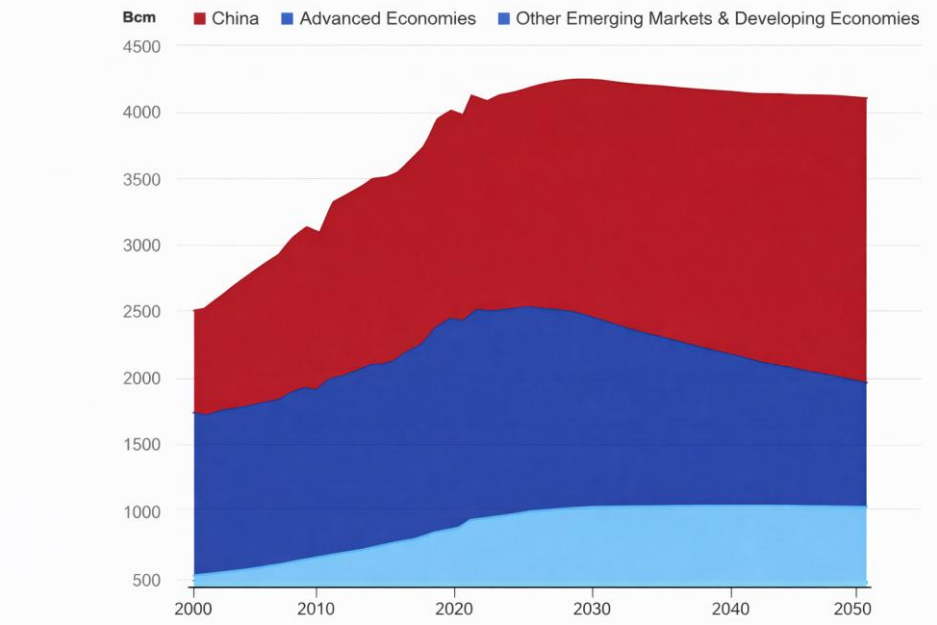


Industry Overview

Industry Overview

Global Consumption | **Geopolitical Stability** | **Data Centre Expansion**

Natural Gas Demand by Region



Source: International Energy Agency

Global LNG demand is projected to rise by 60% by 2040

Canadian producers have growing opportunities to expand into international markets

Industry Overview

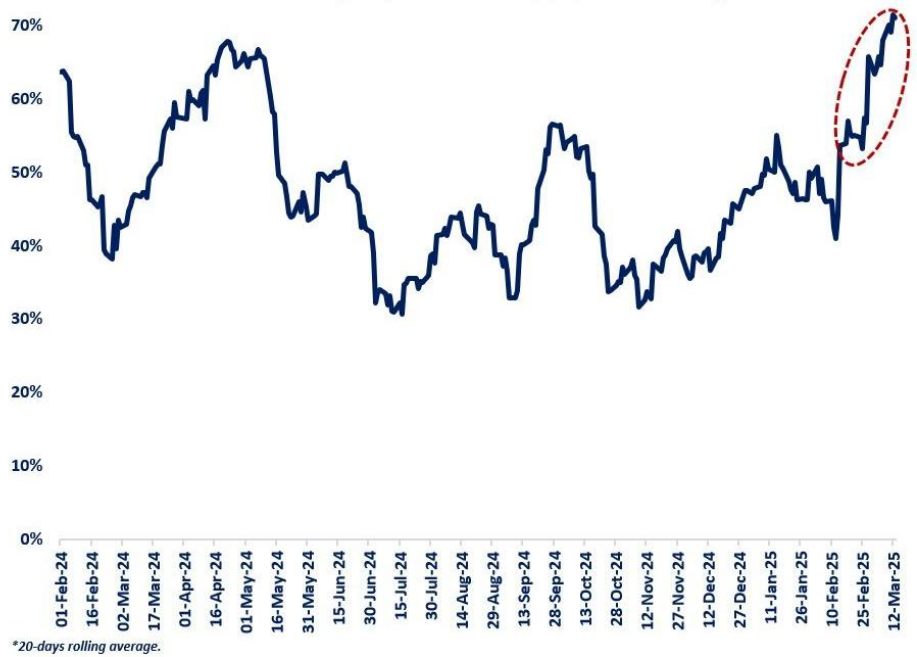
Global Consumption | **Geopolitical Stability** | **Data Centre Expansion**

Average Effective Tariff Rate on Imports to the US



Source: Statista

TTF Volatility Rises with Russian Supply Uncertainty



Source: European Gas Hub

Industry Overview

Canada's energy reliability over international markets:

Canada is positioned to emerge as a dominant global energy supplier in the midst of global geopolitical instability

Ongoing US trade uncertainty opens a window for Canada to supply **stable, reliable LNG** to international markets such as Europe

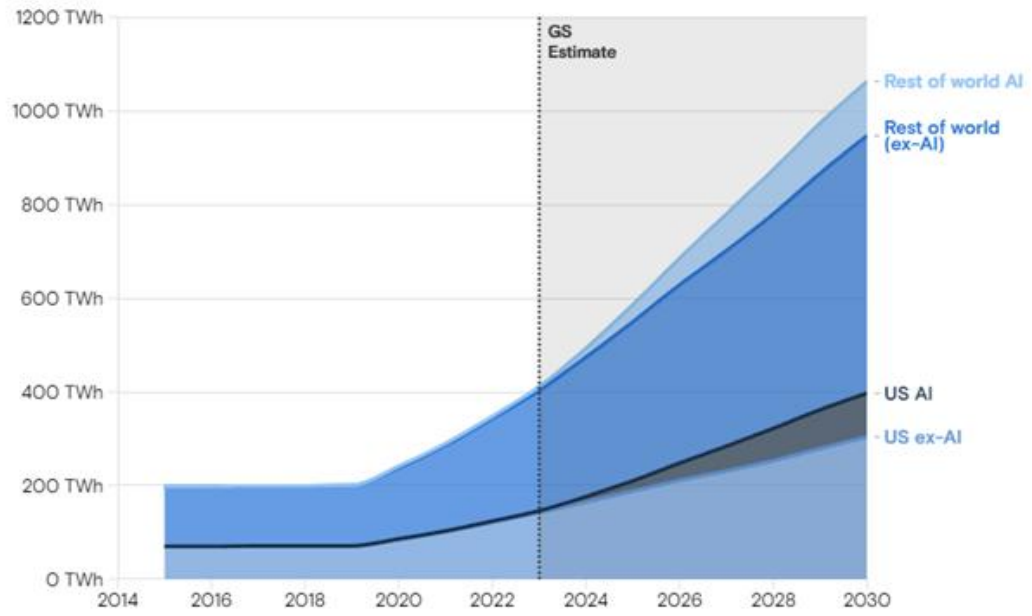
Source: Statista

Source: European Gas Hub

Industry Overview

Global Consumption | **Geopolitical Stability** | **Data Centre Expansion**

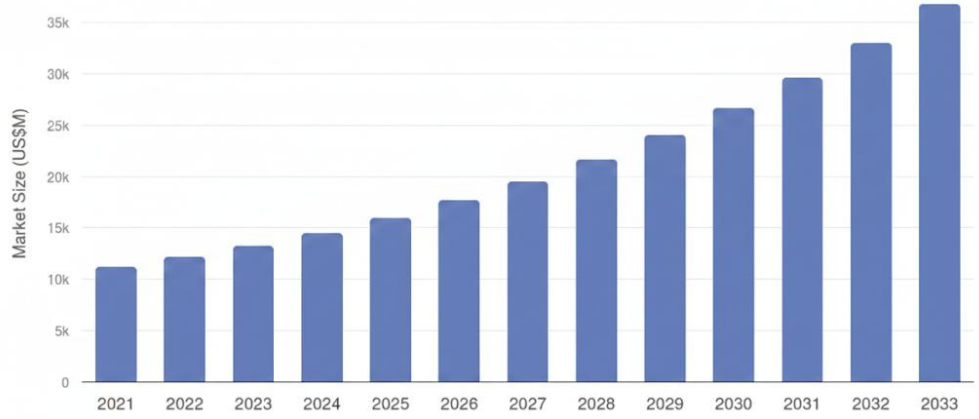
Global Data Centre Power Demand



Source: Goldman Sachs

Rapid AI growth in the near-term is a catalyst for Canadian LNG producers

Canadian Data Centre Market, 2021-2033



Source: Grandview Research



Thesis #1:

TOU is advancing core asset growth through strategic investment.

TOURMALINE OIL CORP.

Thesis #1

TOU is advancing core asset growth through strategic investment.

Upstream

Exploration | Production

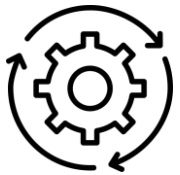
Midstream

Storage | Pipelines

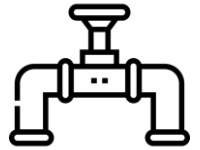
Downstream

Refining | Distribution

Increased operational flexibility through **vertically integrated** infrastructure



Minimized exposure to cost inflation



Three core asset hubs help to internalize processing and transaction fees



Thesis #1

TOU's disciplined approach to capital allocation enhances its position as a cost leader.

2021

Black Swan energy

50,000
boe/d added to production

✓ Enhanced position as a dominant Montney operator

2024

crew energy inc.

700+
Tier 1 Drilling Locations

$200 million
added to free cash flow

2025

Saguaro Resources Ltd

✓ 410 Tier 1 locations added, critical to the Montney Phase 2 project



Thesis #1

TOU's disciplined approach to capital allocation enhances its position as a cost leader

TOU prioritizes acquisitions that add **immediate value** to existing operations

- Enhanced synergies
- Reduced costs
- Improved quality of existing assets



Thesis #2:

TOU's disciplined approach to capital allocation enhances its position as a cost leader.

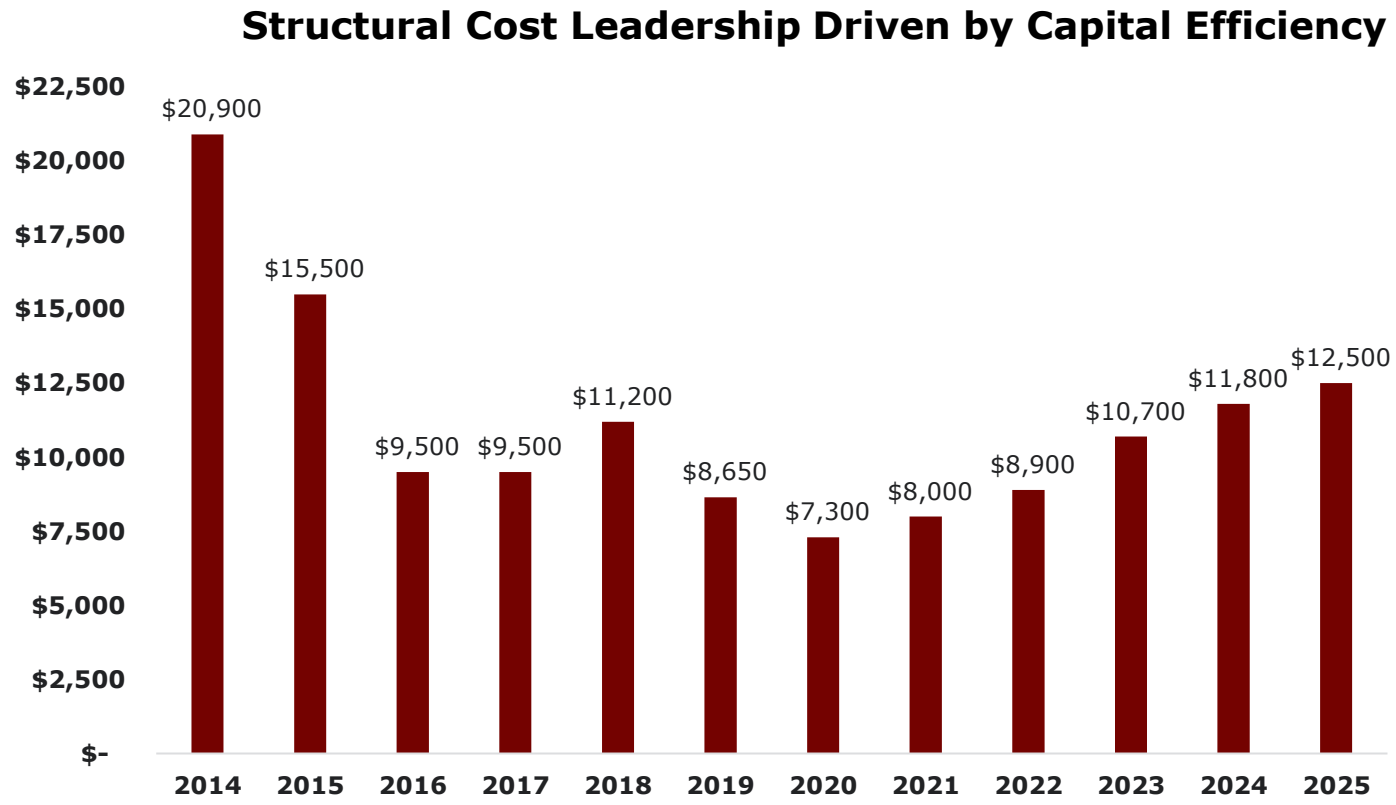
Thesis #2

TOU's disciplined approach to capital allocation enhances its position as a cost leader.

Lowest drill/complete capital costs in the North Montney area at approximately $3.5M per well

Geographic concentration reduces development costs

Further cost reductions targeted in the Montney and Alberta Deep Basin through ongoing optimization



Sources: Investing.com

Thesis #2

TOU's disciplined approach to capital allocation enhances its position as a cost leader.

Capital Allocation Extends Cost Leadership into Global Pricing Exposure

- Long-term LNG agreements provide direct exposure to international gas pricing
- 130,000 Mmbtu/d contracted under long-duration agreements beginning in 2028
- Investment in transportation and marketing supports lower unit supply costs relative to peers

Western Canada Low-Cost Supply

↓

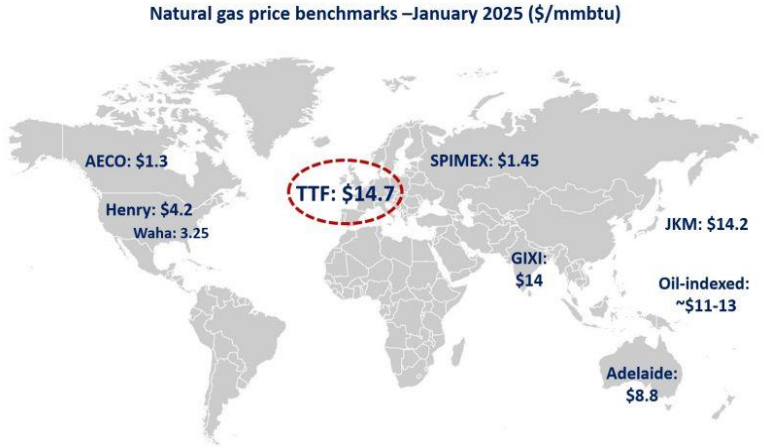
Transportation and Marketing Investment

↓

LNG Export Agreements (Uniper and Centrica)

↓

International Gas Pricing (TTF Linked)



Sources: Ngindustry.com



Thesis #3:

TOU is well positioned to capitalize on the growth of Western Canadian gas consumption.

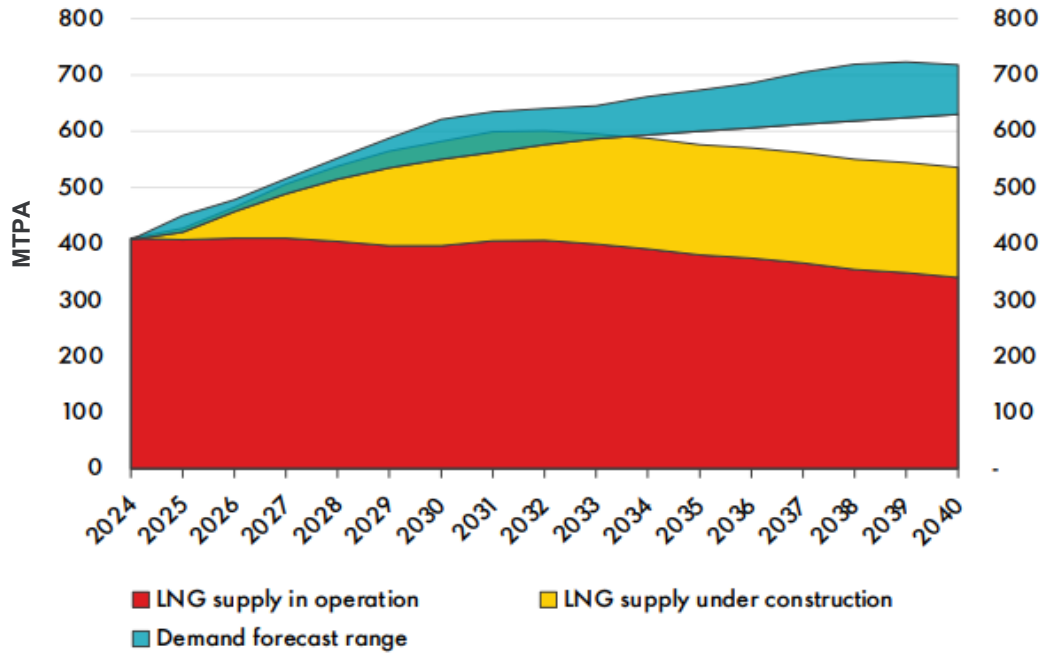
TOURMALINE OIL CORP.

Thesis #3

TOU is well-positioned to capitalize on the growth of Western Canadian gas consumption.

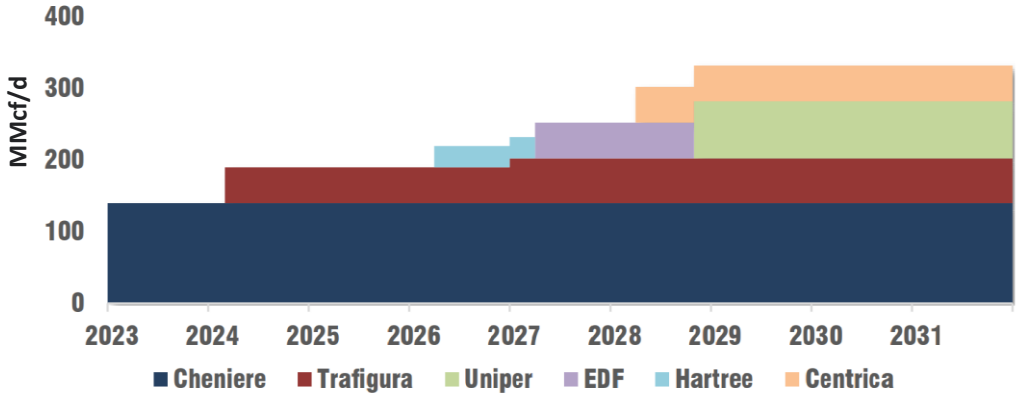
With LNG export capacity set to grow 50% by 2030, many forecasts indicate that demand will keep pace with the rising supply

Shell's forecast for LNG export capacity vs demand



TOU dominates Canadian peers in locking down US Gulf Coast access for expanding export capacity

TOU's LNG Volume Growth by Agreement Start Date



The LNG market is at an inflection point, and TOU is ready to capitalize.

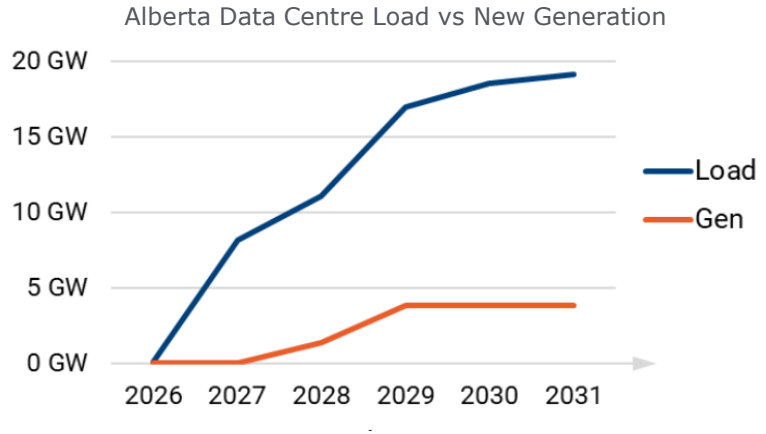
Sources: Shell, Company Filings

Thesis #3

TOU is well-positioned to capitalize on the growth of Western Canadian gas consumption.

The regulatory environment is just beginning to pave the way for data centre expansion in Alberta.

Alberta's electricity grid can only supply data centres with a limited amount of power…



New initiatives contribute to solving this problem…

1. The Canada-Alberta Memorandum of Understanding includes a "grand bargain" where Ottawa agreed to suspend Clean Energy Regulations (CER) in Alberta.
2. Bill 8 encourages data centres to bring their own power generation and fast-tracks those projects, reducing reliance on the grid.

→ Data centres need reliable 24/7 power generation. Natural gas is the only viable option.

→ TOU's 30% production growth target is strategically positioned to capture the emerging domestic 'Gas-to-AI' market

Sources: AESO, Government of Canada

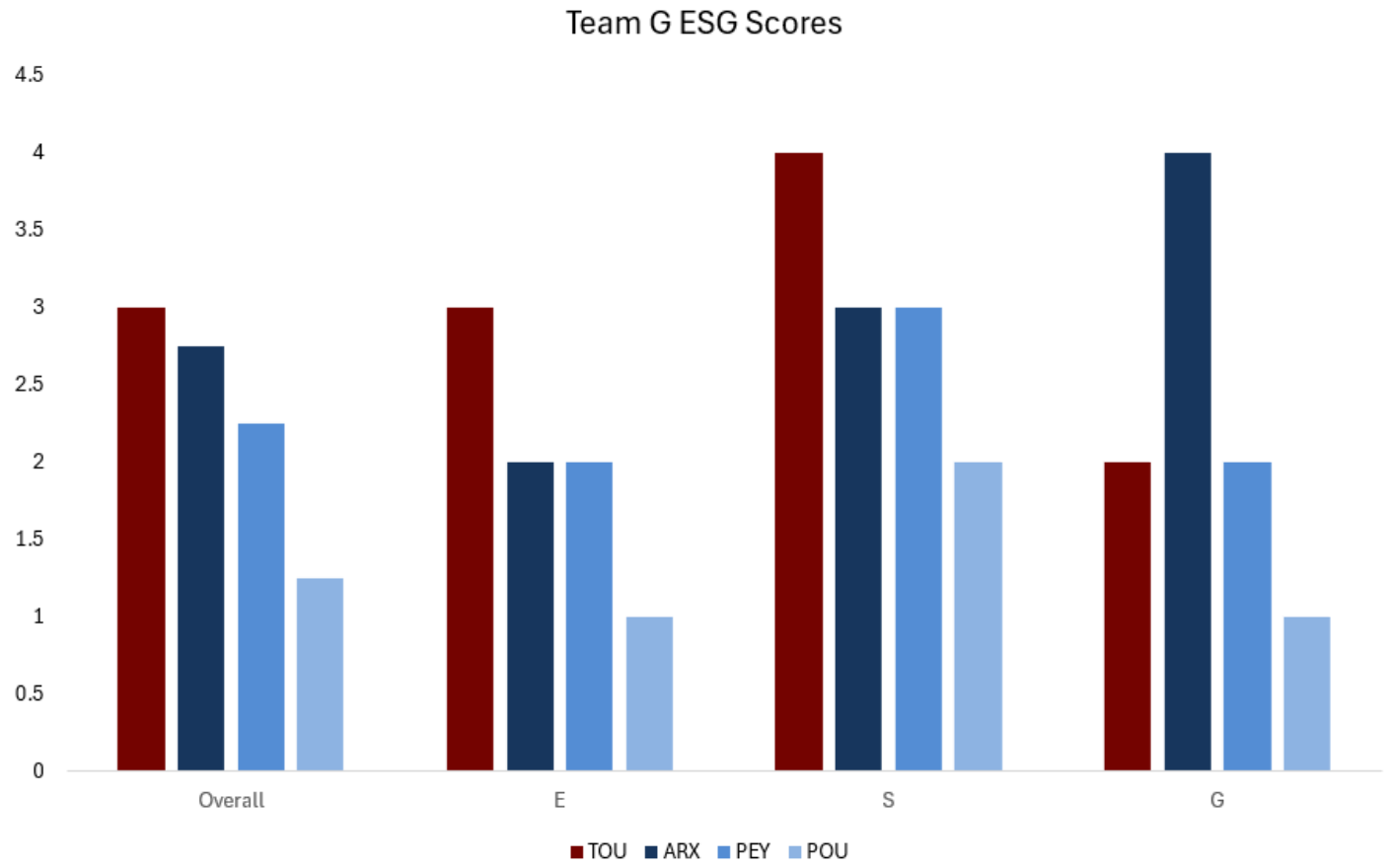


ESG Analysis

Environmental, Social, and Governance

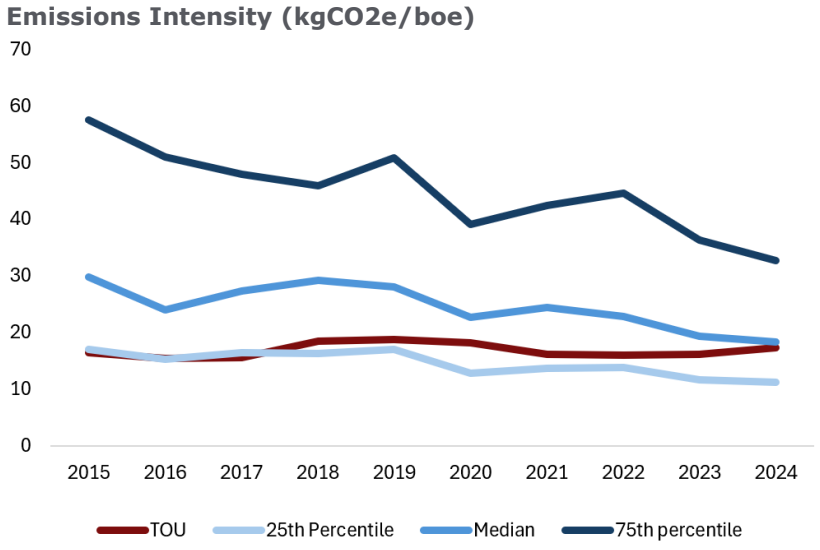
In terms of peers, TOU is a leader in most areas.

They remain transparent even when regulatory conditions make it unfavorable to do so.



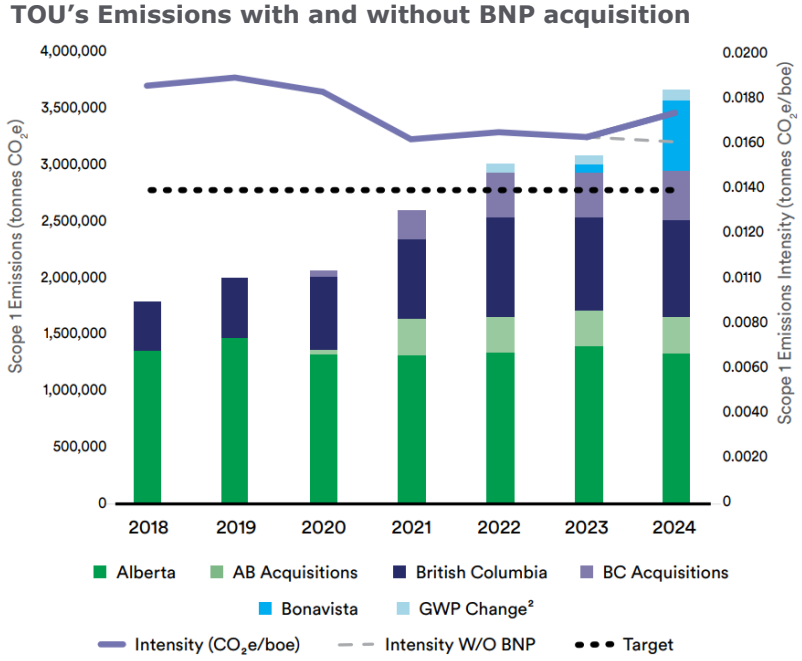
ESG Analysis: Environmental

TOU's emissions intensity has remained relatively static since 2015….

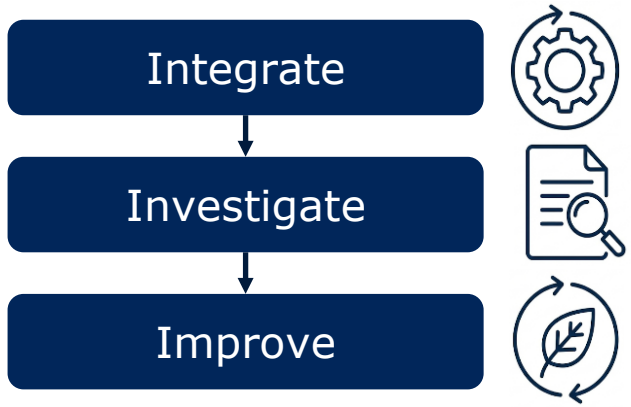


Despite the current plateau in emissions intensity, TOU remains in line with its peer group and is well-positioned for future improvement.

… However, This trend is largely attributable to major acquisitions



TOU is focused on transforming these acquired assets

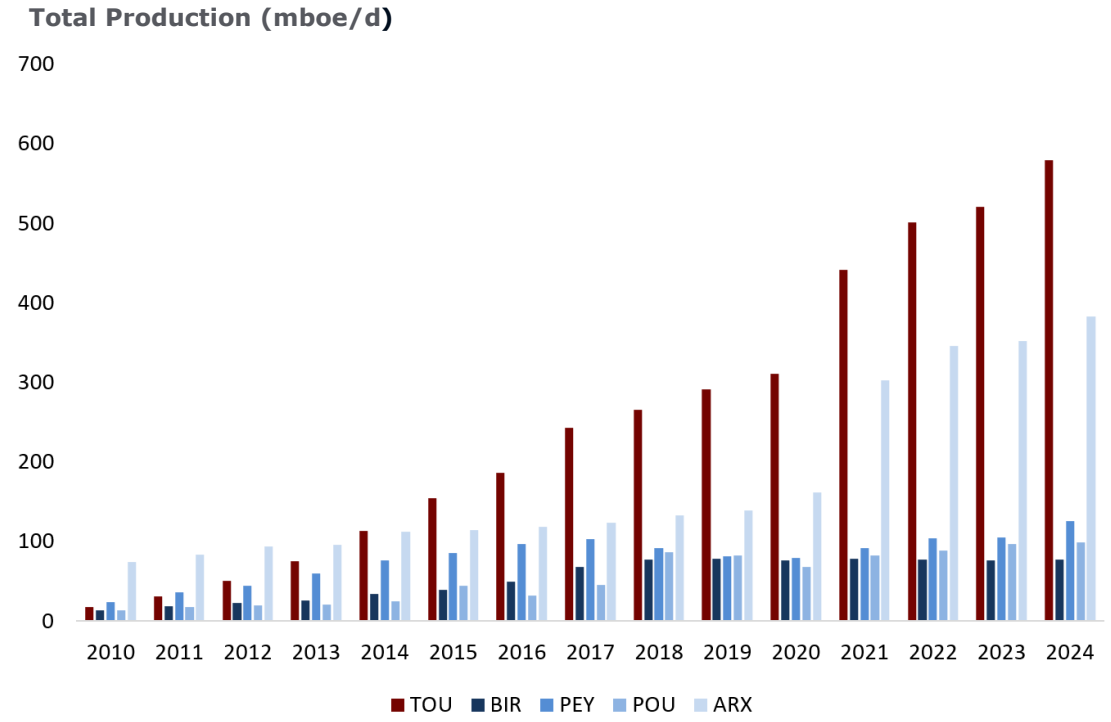


Source: Bloomberg, Company Filings

ESG Analysis: Governance

Experienced, long-tenured leadership underpins TOU's governance

Management has demonstrated its ability to create value by growing the business into Canada's largest producer of natural gas and NGLs

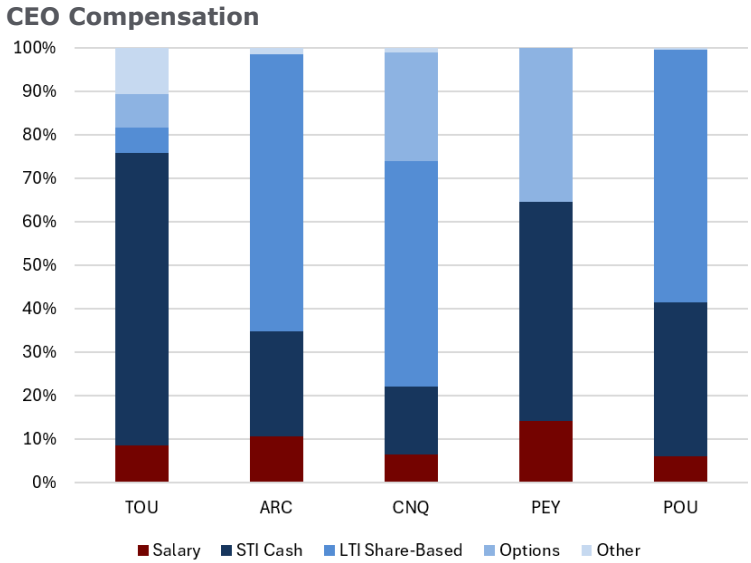




Michael Rose, CEO

- 38+ years of experience in the Oil and Gas industry
- Previous CEO of Berkley Petroleum Corp. and Duvernay Oil Corp.
- Holds 4.46% of shares, and has purchased ~200,000 additional shares through open-market transactions in 2025

Lower share-based incentives than peers, as insider ownership is already high



Source: Bloomberg, Company Filings

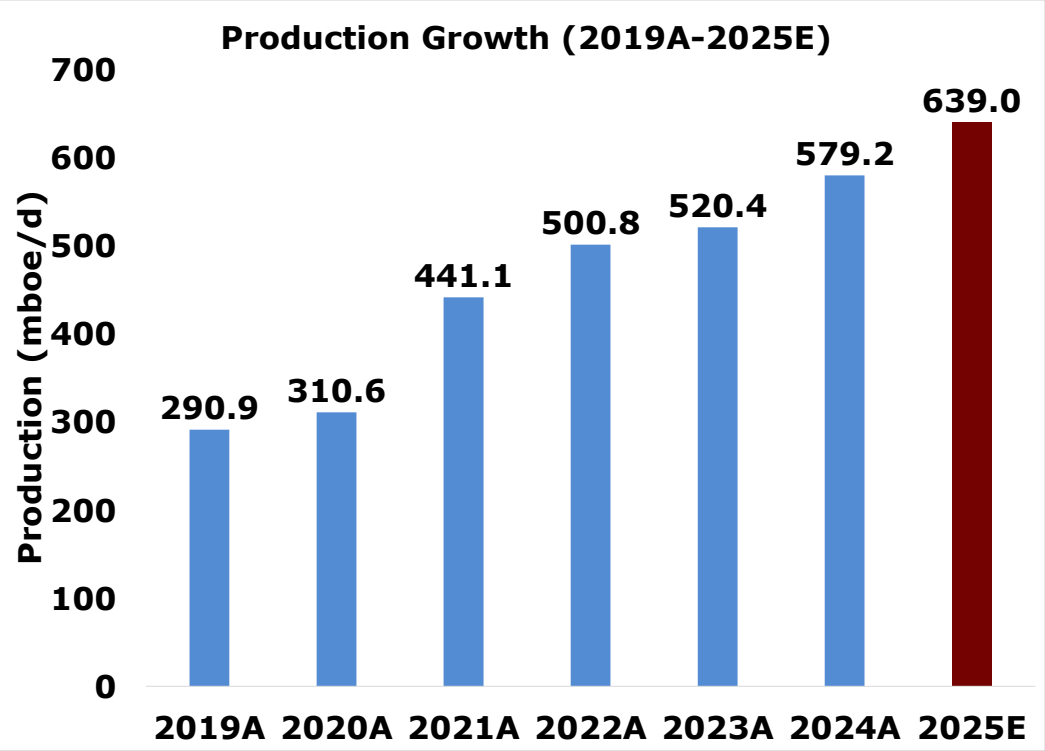


Financial Analysis

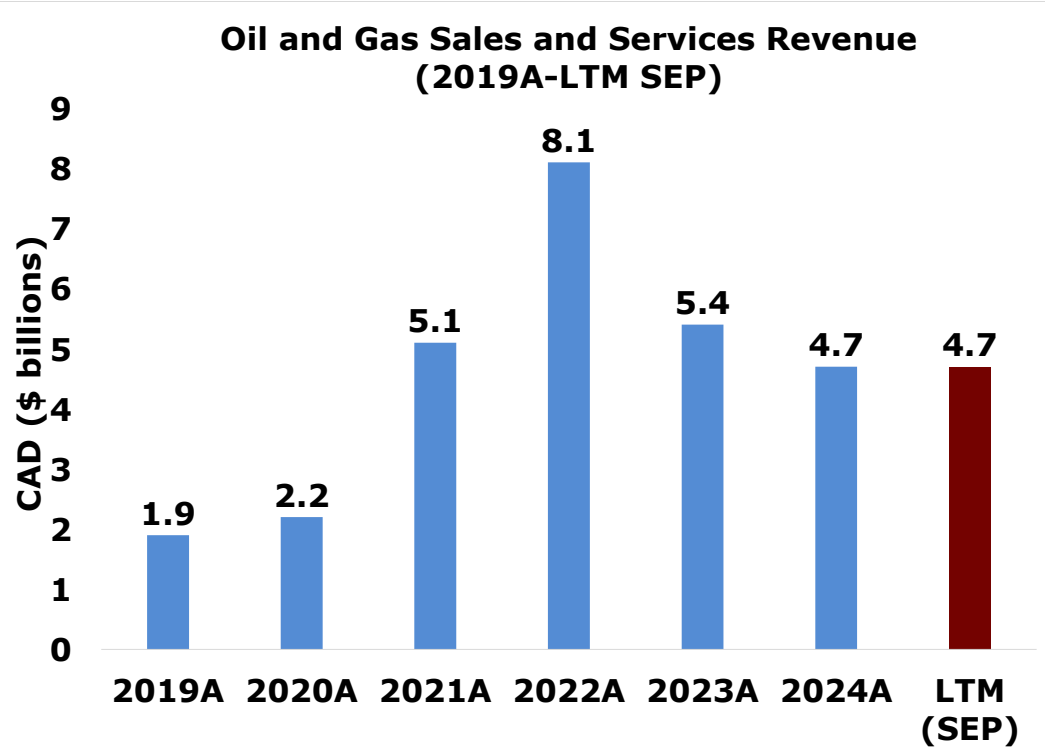
Financial Analysis

Operating Performance

Production growth has been steady and management-driven, not reactive to price swings.



Revenue volatility reflects natural gas prices rather than changes in operations.

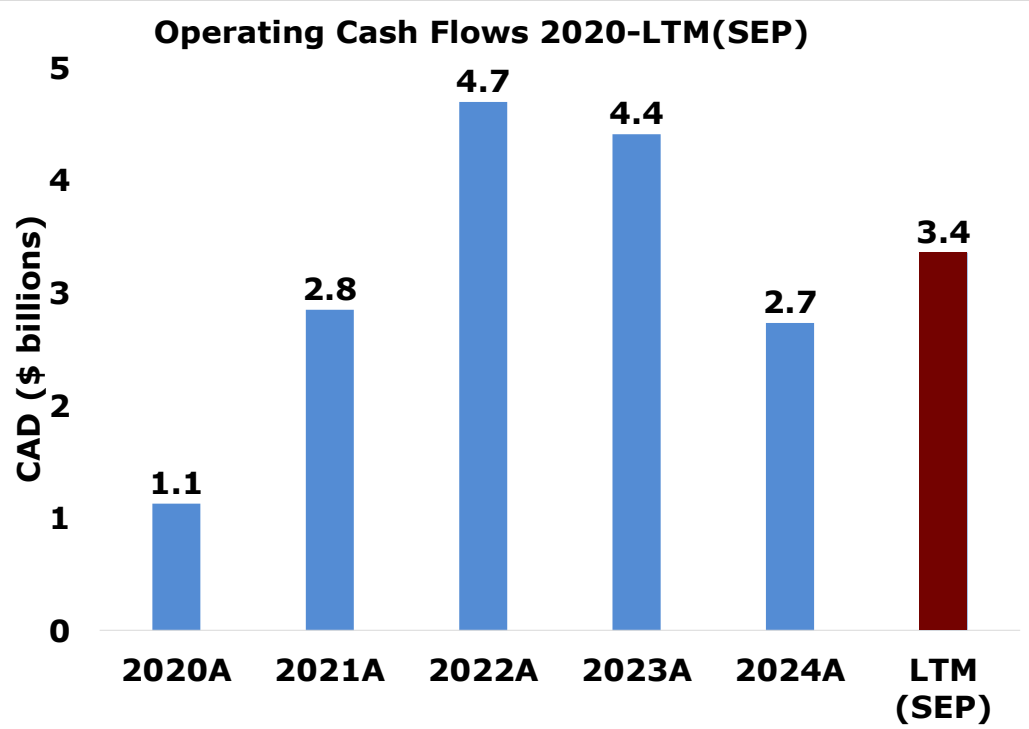


Source: Bloomberg, Financial Analysis

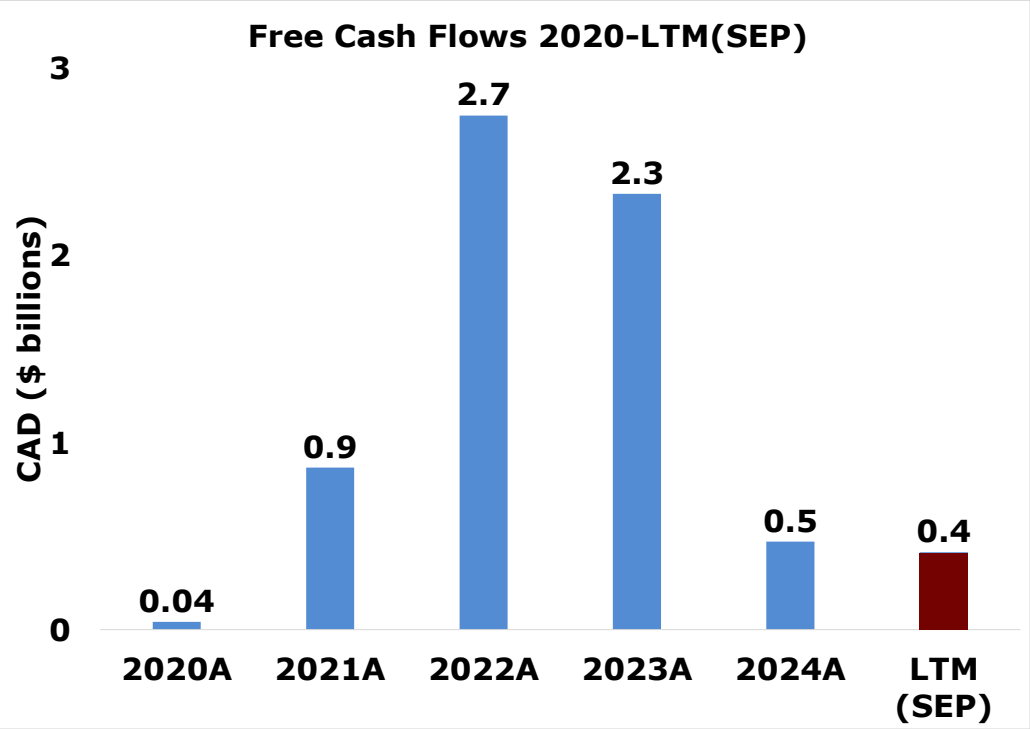
Financial Analysis

Profitability and Cash Generation

Cash generation remains strong even in weaker pricing environments.



Free cash flow peaks in strong pricing and normalizes as capital is redeployed.

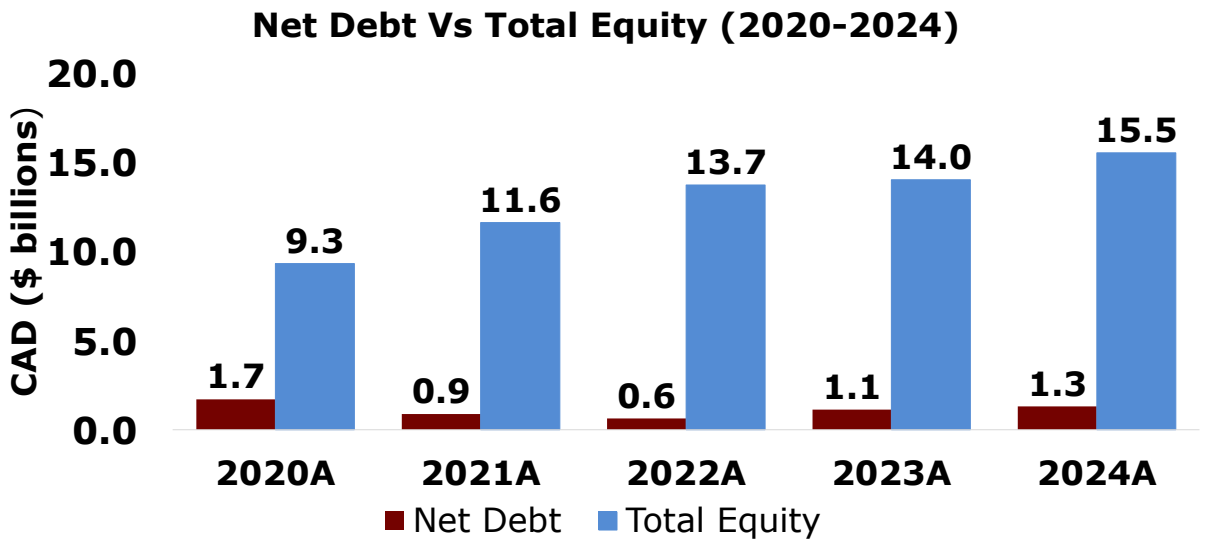


Source: Bloomberg, Financial Analysis

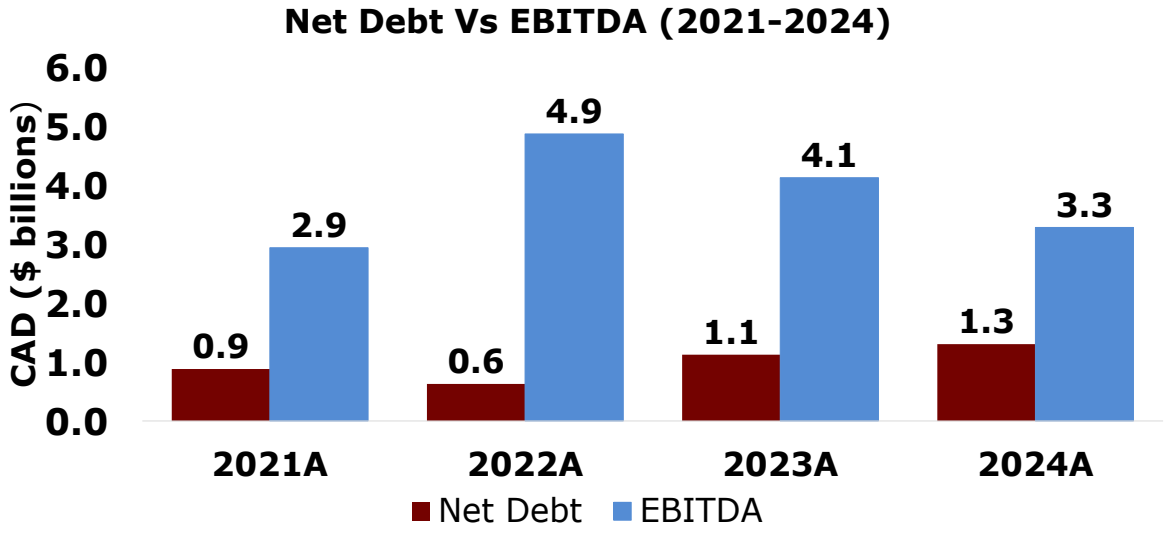
Financial Analysis

Balance Sheet and Capital Structure

Equity growth has outpaced changes in net debt, reflecting disciplined capital allocation and retained earnings.



Low net debt relative to EBITDA highlights strong leverage capacity and limited financial risk.

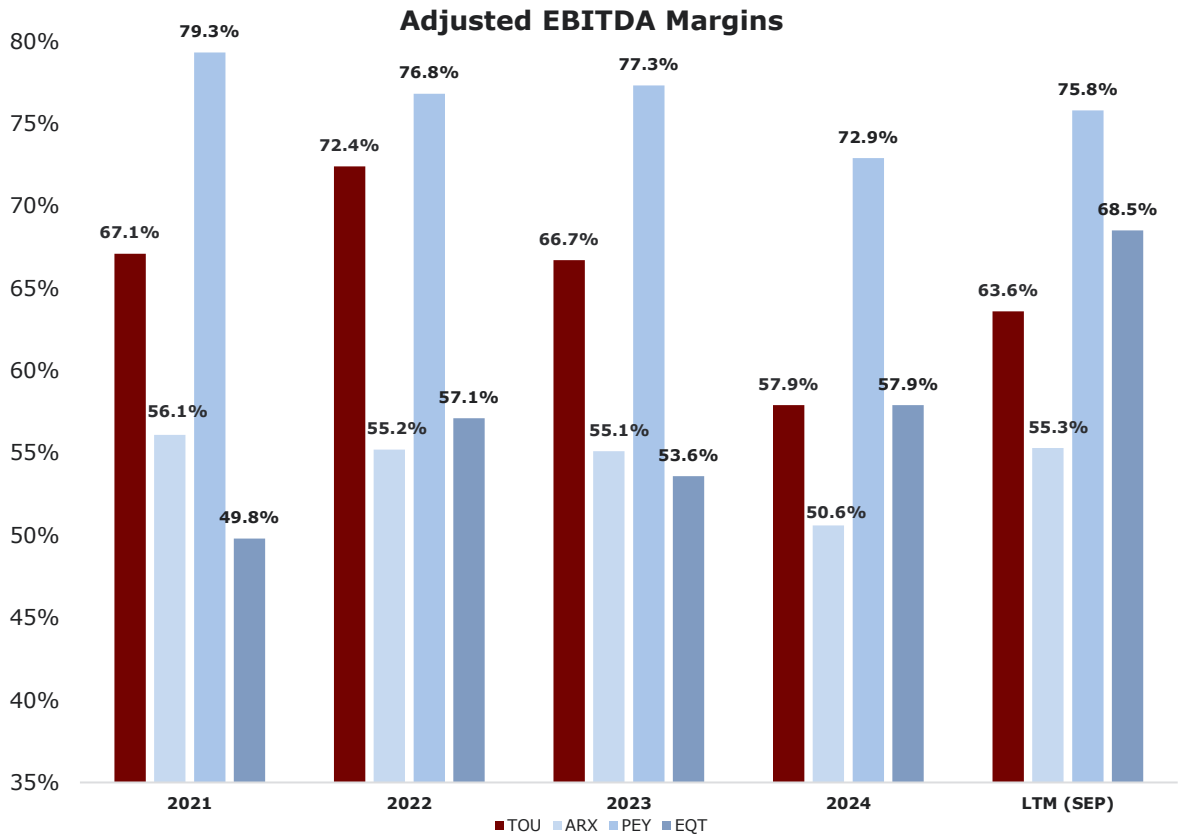


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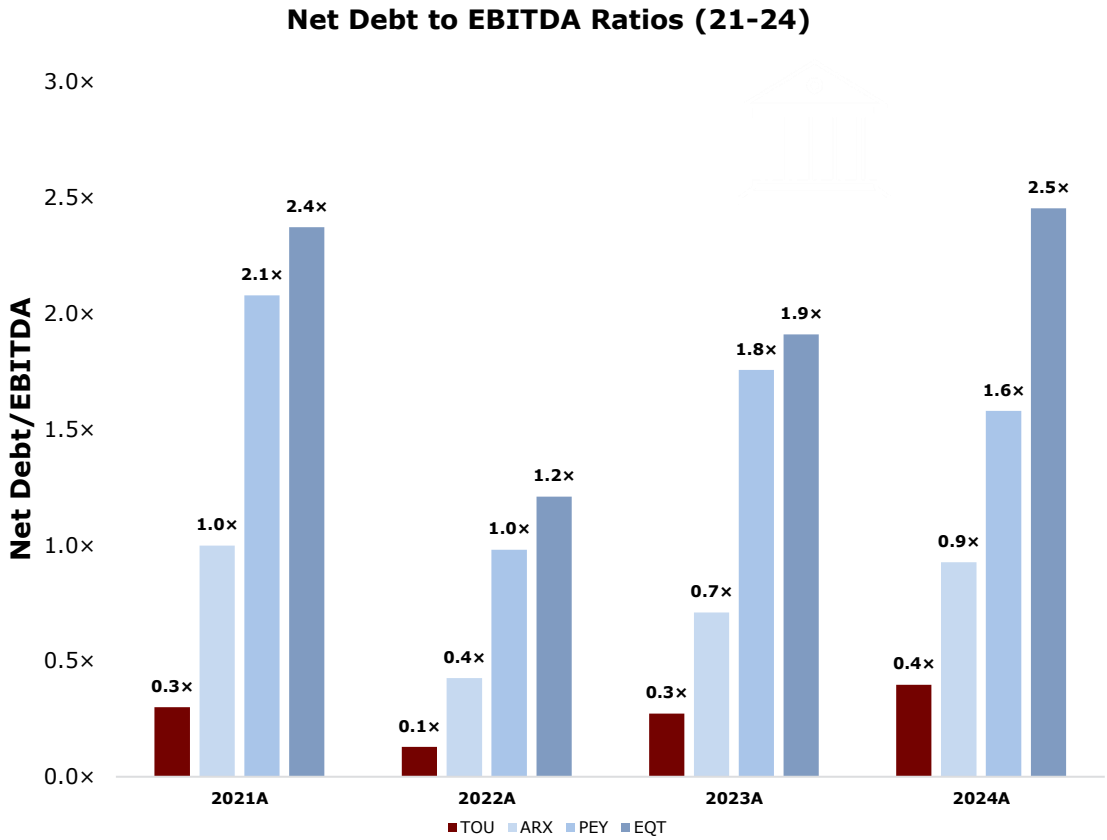
Financial Analysis

Relative Operating and Financial Performance

TOU consistently operates at the upper end of peer profitability across cycles.



Low leverage is structural, not cyclical, reinforcing flexibility through price volatility.



Source: Bloomberg, Financial Analysis



Valuation

Net Asset Value (NAV) Model

NAV model suggests TOU's intrinsic value is significantly undervalued

NAV Calculation Summary

After-Tax Asset Value: **$26.3bn**
(PD+PUD reserves; net of G&A and cash taxes)

Less: Net Liabilities: **$598.8mm**
(Net debt, asset retirement obligations, net derivatives)

Net Asset Value: **$25.7bn**
(Equity value attributable to shareholders)

NAV per Share: **$66.38**

Implied NAV Upside: **+13.76%**

Source: Bloomberg, Company filings, Team analysis

Key NAV Assumptions

Commodity Prices

- Long-Term Natural gas Price: $4.25
- Long-Term NGL Price: $45
- Long-Term Oil Price: $95

Valuation Framework

- Discount Rate: 10% (PV-10)
- Reserve Basis (Net): Proved Developed (PD) + Proved Undeveloped (PUD)
- After-tax NAV methodology

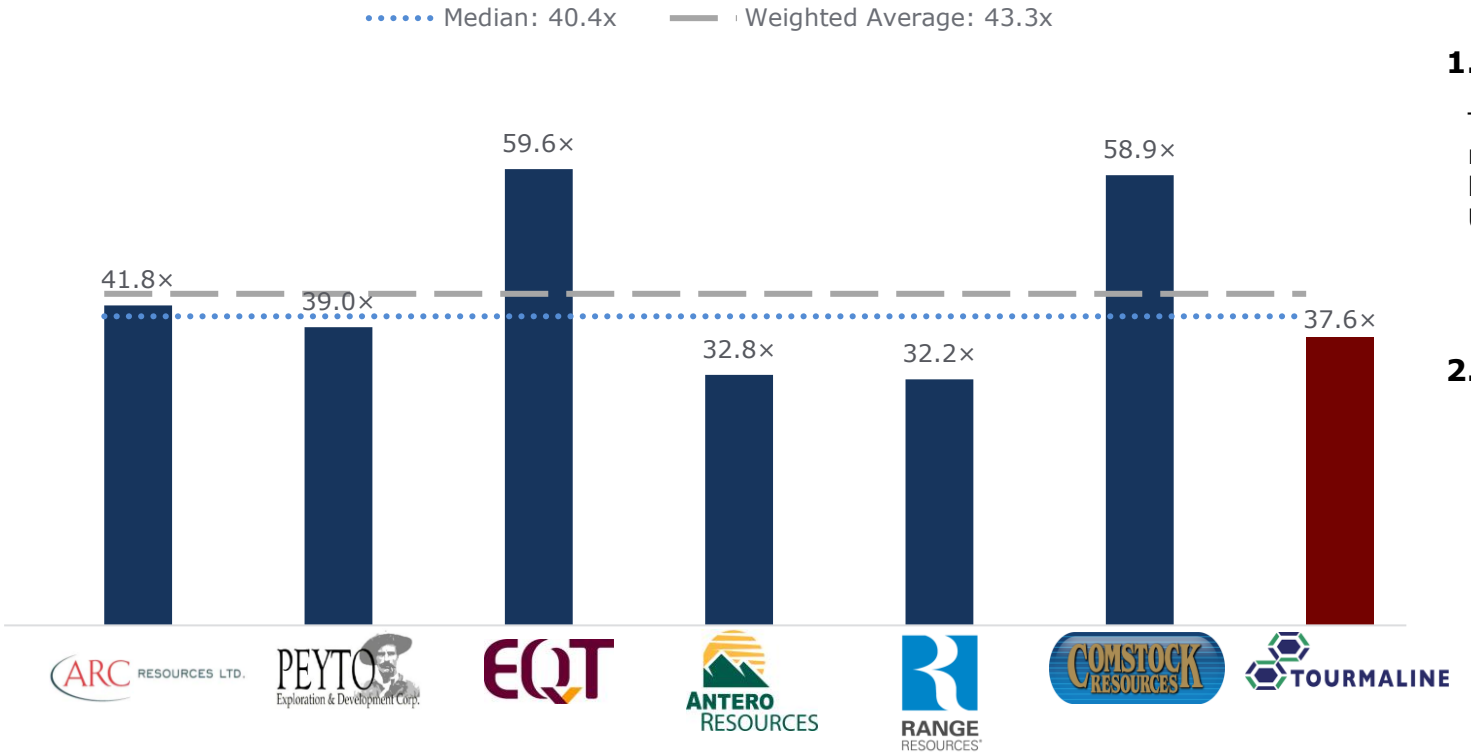
Operating & Equity

- Current PDP Production: 579 mboe/d
- Diluted shares outstanding: 387mm
- Average D&C Cost: $10.25mm per well
- Average expense per boe of production ~ $10

Relative Valuation

Weights are assigned based on operating and geographic comparability to TOU, with greater weight given to Canadian peers and larger, more directly comparable operators, and lower weight applied to less comparable U.S.-based companies

TOU trades at a discount to peers on an EV/boe/d basis



Why the EV/boe/d Discount Exists - and Why We See Upside

1. Market Over-Penalizes Canadian Gas Exposure

The current EV/boe/d multiple reflects historical AECO volatility rather than normalized pricing. As infrastructure improves and demand grows, reduced basis risk supports multiple re-rating without requiring AECO parity with U.S. gas.

2. Asset Quality and Cost Leadership Are Under-Reflected

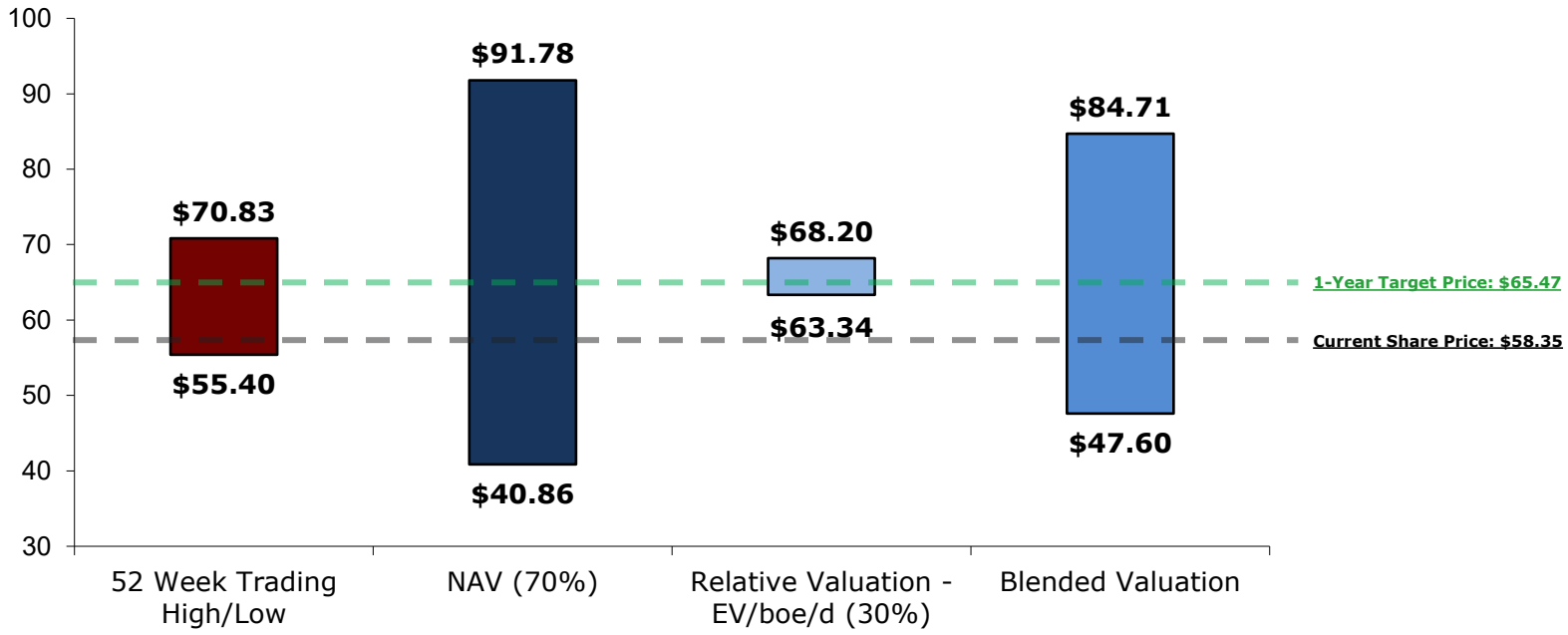
EV/boe/d is backward-looking and does not capture TOU's long-life Montney inventory, infrastructure ownership, and industry-leading cost structure, which support durable free cash flow and justify higher flowing-barrel multiples.

Source: Bloomberg, Company filings, Team analysis

Valuation Summary & Price Target

We value TOU using a blended approach that combines an asset-based NAV and relative valuation. Applying a 70% weight to NAV and a 30% weight to relative valuation yields a one-year target price of **$65.47**, representing **12.2% upside** to the current share price.

Valuation Football Field



1-Year Target Price:

$65.47

Implied upside: +12.2%

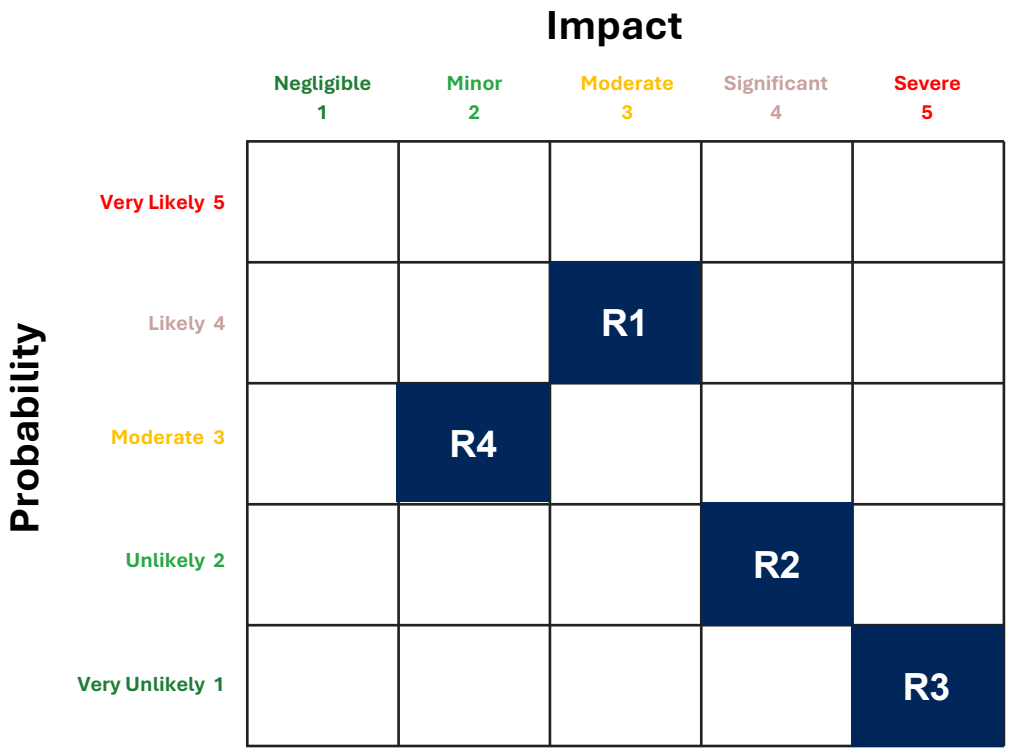
Valuation Weighting

- NAV: **70%**
- Relative: **30%**

Blended target reflects greater weight on asset-backed NAV, with relative valuation used as a market cross-check.

Source: Bloomberg, Company filings, Team analysis

Investment Risks



R1	Global LNG Oversupply
R2	Regulatory Risks
R3	Energy Transition Accelerated
R4	Delays in NEBC Montney Build Out

Source: Team Analysis

TOURMALINE OIL CORP.



BUY Recommendation

Target Price: $65.47 (12.2% Upside)

Current Price as of Jan 8,2026: $58.35

Sector: Oil & Gas Exploration and Production

Ticker: TOU (TSX)

Appendix Map

Appendix 1: Alberta Deep Basin

Appendix 2: NEBC Montney

Appendix 3: Peace River High

Appendix 4: Asian Naturual Gas Prices

Appendix 5: Porter's 5 Forces

Appenidx 6: Barrier's to Entry

Appendix 7: Catalysts

Appendix 8: Signficant Acquistions

Appendix 9: LNG Agreements

Appendix 10: Competitor Profiles

Appendix 11: LNG Demand

Appendix 12: Select Regulatory Background

Appendix 13: Alberta Power Generations

Appendix 14: ESG Score Card

Appendix 15: ESG Analysis: Social

Appendix 16: ESG Scores

Appendix 17: TOU Environmental Footprint

Appendix 18: Product Revenue Mix/Revenue Exposure

Appendix 19: Shareholder's Comp

Appendix 20: Valuation General Info

Appendix 21: NAV per share

Appendix 22: PD Developed Assumptions

Appendix 23: Prod Decline Curve

Appendix 24: PUD Assumptions

Appendix 25: NAV expenses

Appendix 26: Forecasted Production

Appendix 27: Relative Valuation

Appendix 28: TOU Natural Gas/Sulphur Pricing

Appendix 29: TOU Natural Gas/Sulphur Pricing 2

Appendix 30: TOU Oil & Gas Reserves

Appendix 31: Income Statement

Appendix 32: Balance Sheet

Appendix 33: Cash Flow Statement

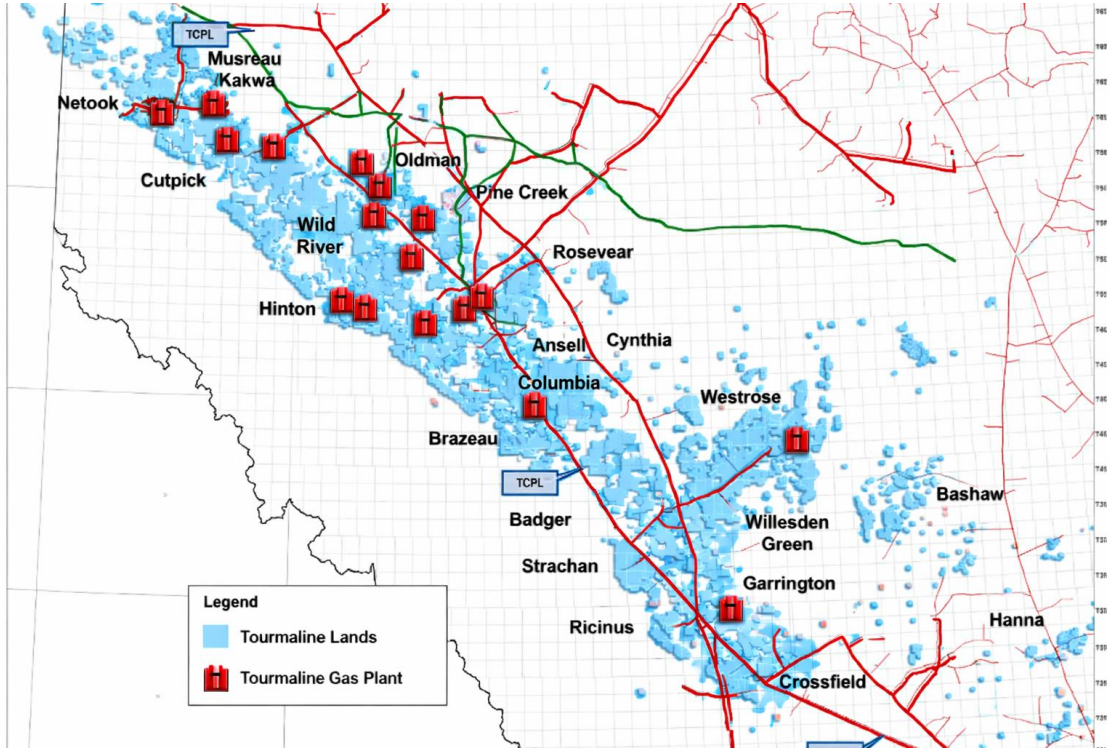
Appendix 34: Ratio's

Appendix 1: Alberta Deep Basin

TOU is the largest producer in the Alberta Deep Basin, which represents over 50% of the company's production.

The Basin produces approximately **320,000 boe/d** and has **2.5bcf/d** of natural gas processing capabilities

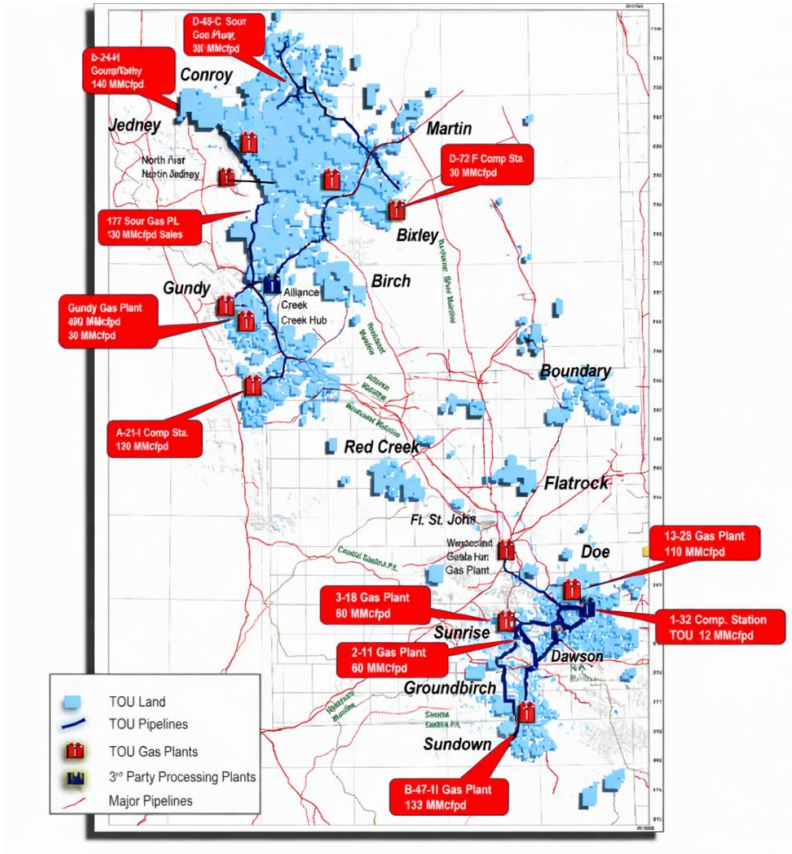
TOU holds interests in **23** processing plants, with **11** being fully owned by TOU within the basin



Source: Tourmaline Oil

Appendix 2: NEBC Montney

TOU's presence on NEBC Montney is focused on liquids-rich natural gas in the Triassic Montney formation.



Source: Tourmaline Oil

The Montney has evolved from conventional vertical development to unconventional reservoirs

Created highly productive horizontal drilling and multi-stage fracture stimulation

1,130 drilled horizontal wells in NEBC, with an additional **160** wells planned for 2025

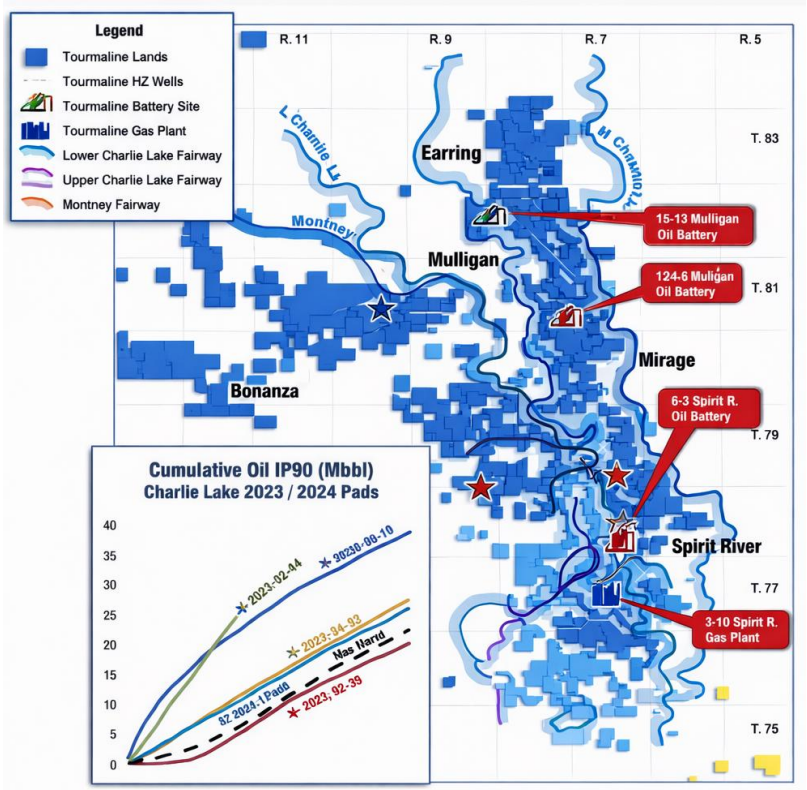
Appendix 3: Peace River High

Peace River High is TOU's exploration and production complex at Spirit River-Mulligan-Earring and Wapiti, Alberta.

Production in the complex is driven by oil and natural gas-charged reservoirs

Produces **22,000 boe/d**

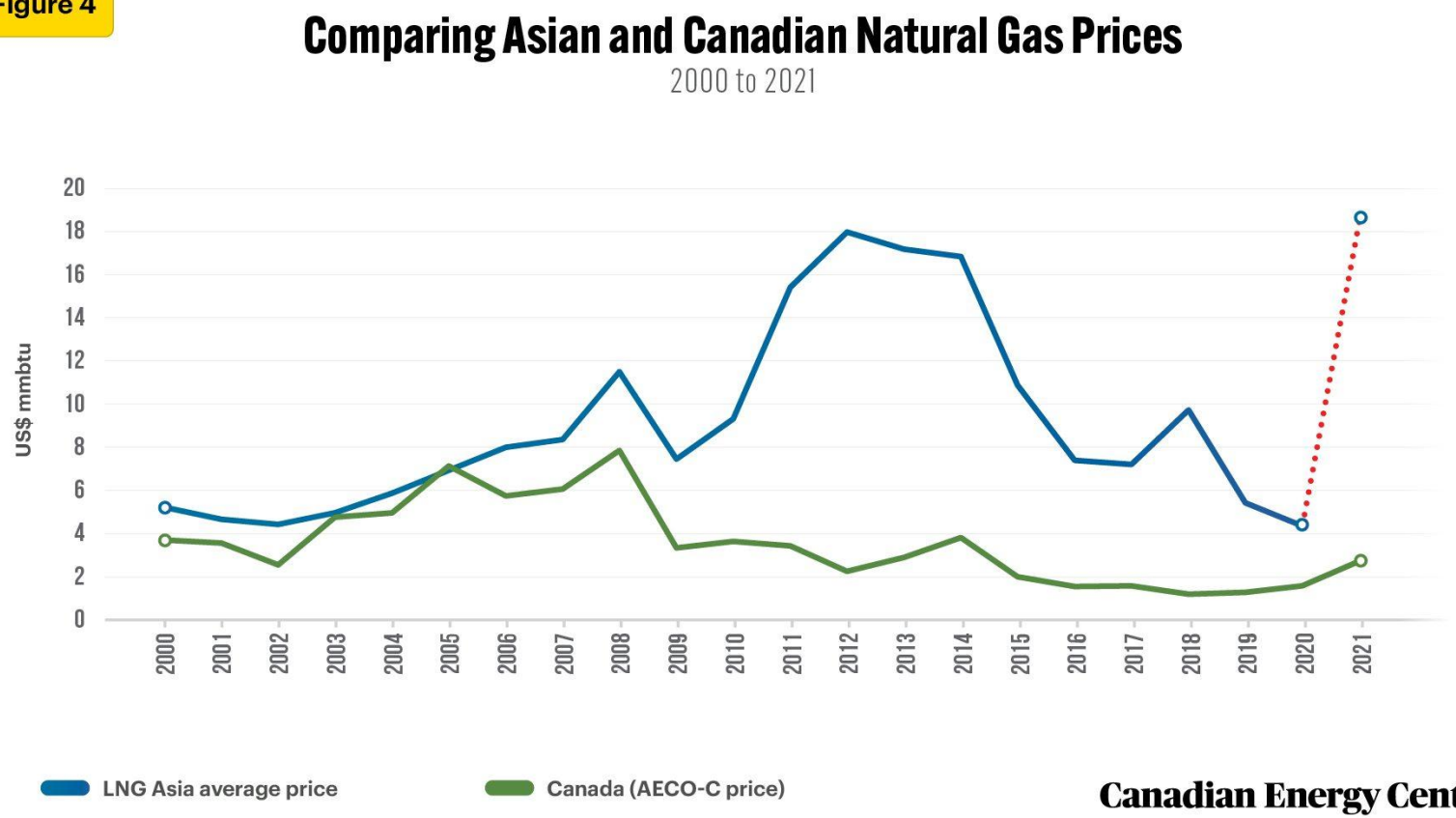
TOU currently in discussion to sell properties to CNR .



Source: Company filings

Appendix 4: Asian Natural Gas Prices

Figure 4



Historically, natural gas prices in Asia are higher and more volatile than Canadian prices

In recent years:

Global gas prices rose due to the Russia-Ukraine war and increased global demand

Asian markets will benefit from expansion of LNG Canada

Appendix 5: Porter's 5 Forces

Threat of New Entrants

Low

High capital requirements, regulatory hurdles, long project timelines

Limited access to tier 1 reserves and lack of integrated infrastructure reduces risk of near-term entry

Bargaining Power of Suppliers

Low

Limited dependence on third-party suppliers due to TOU's scale, reserve base, and operational flexibility

Pricing primarily impacted by supply and demand, supply levels, pipeline congestion

Bargaining Power of Buyers

Moderate

Greater pricing power for domestic buyers due to oversupply and AECO basis discounts

Long-term export contracts increase pricing diversification, limiting reliance on a few buyers

Threat of Substitutes

Moderate

Natural gas remains crucial for electricity generation, data centres, and LNG exports in the near-to-medium term

Rising threat from nuclear energy and renewables in the long-term

Competitive Rivalry

High

AECO pricing pressure intensifies competition between major players – ARC Resources, Peyto, Ovintiv

TOU's low-cost operating structure allows it to out-perform peers and continue growth

Appendix 6: Barriers to Entry

Capital Intensity and Scale

Drilling in the Montney and Deep Basin wells costs on average **$7 million - $10 million** per well

Land in the WCSB costs approximately **C$4,400** per acre

Upfront investment typically requires hundreds of millions of dollars before any cash flow



Access to Land and Resources

Prime land in the Montney and Deep Basin areas is **already controlled** by well-established players

Tier-1 land is scarce and highly expensive

High quality resources are already leased, pushing new entrants to higher cost positions



Regulatory Complexity

Projects within upstream and midstream segments face multi-layer federal and provincial regulation

Canadian government is **tightening regulation** focusing on upstream emissions and methane rules

Compliance costs are rising



Appendix 7: Catalysts

1 Near-term Production Increase	TOU expected to deliver strong production in 2026 between 690-710 mboe/d. Once AECO prices normalize and LNG demand rises , the EP plan forecasts a 20% increase in cash flows over the same period in 2025.
2 Self-Funded Growth and Strong Free Cash Flow	Upcoming EP plan expected to be fully funded by operating cash flows, indicating strong operating leverage. TOU delivered strong FCF growth despite a weak AECO price environment.
3 Positioned to Meet Demand Growth through Montney Position	TOU has become a dominant Montney operator through recent acquisitions, positioning it for growth with the expansion of LNG Canada. The facility will rely heavily on Montney natural gas reserves, strengthening TOU's position to meet global LNG demand.

Appendix 8: Significant Acquisitions Since 2021

Date	Acquisition	Region	Purchase Price ($MM)	Production (boe/d)
Apr 15, 2021	Saguaro	Montney NEBC	$205.0	9,000
Jul 15, 2021	Paramount	Montney NEBC	$85.6	2,400
Jul 15, 2021	Black Swan	Montney NEBC	$896.5	50,000
Aug 10, 2022	Rising Star	Peace River High	$191.1	5,700
Nov 17, 2023	Bonavista	Deep Basin	$1,340.2	60,000
Oct 1, 2024	Crew	Montney NEBC	$1,188.1	30,000
Dec 1, 2024	Todd	Montney NEBC	$296.5	4,500
Jun 1, 2025	Strathcona	Montney NEBC	$285.7	8,000
Jun 6, 2025	Saguaro	Montney NEBC	$481.5	12,000

Source: Company Filings

Appendix 9: LNG Agreements

Counterparty	Volume (MMcf/d)	Index	Delivery	Start	Term / End
Cheniere	140	**JKM**	US Gulf Coast	Jan 2023	15-year term
Trafigura	50	**TTF**	AB-NIT	Mar 2024	Mar 2024–Dec 2026
Hartree	30	**TTF**	US Gulf Coast	Apr 2026	1-year term
EDF	50	**TTF**	US Gulf Coast	Apr 2027	19-month term
Trafigura	62.5	**JKM**	US Gulf Coast	Jan 2027	7-year term
Centrica	50	**TTF**	AB-NIT	Apr 2028	10-year term
Uniper	80	**TTF**	US Gulf Coast	Nov 2028	8-year term

Source: Company Filings

Appendix 10: Competitor Profiles

ARC

- Third largest Natural gas producer in Canada with focus on the Montney and strong condensate exposure
- Currently maintains stronger production ties to Canadian West Coast LNG infrastructure than TOU. However, one of their larger contracts is still linked to Canadian pricing.
- Set to achieve higher relative exposure to LNG markets by 2030 compared to TOU (based on existing agreements), but TOU maintains a more diversified portfolio of smaller, individual agreements.

PEYTO Exploration & Development Corp.

- Operates almost exclusively within the Alberta Deep Basin, with minimal exposure to the Montney formation.
- Less diverse operations, with focus on natural gas (only 12% liquids)
- Lowest operating costs among peers
- Few LNG agreements, but has good exposure to US markets
- Prioritizes operational efficiency and sustainable dividends over aggressive production growth

Paramount resources ltd.

- More liquids/condensate weighted giving higher exposure to oil/condensate pricing than TOU.
- Recently closed an approximately $3.2B asset sale and is re-scaling around its remaining core areas (aiming to grow production to >100 mboe/d by 2028)
- Relative to TOU, paramount has smaller scale and less marketing/LNG optionality

Ovintiv

- Maintains a diversified production profile similar to TOU, with a roughly 50/50 split between natural gas and liquids (oil, condensate, and NGLs)
- Operations in US Permian Basin for oil and Montney for gas/condensate
- Recent consolidation in Montney with acquisition of NuVista and Paramount assets
- No LNG exposure currently in operation, but has a 12-year Cedar LNG capacity agreement with expected start-up in late 2028

BIRCHCLIFF ENERGY

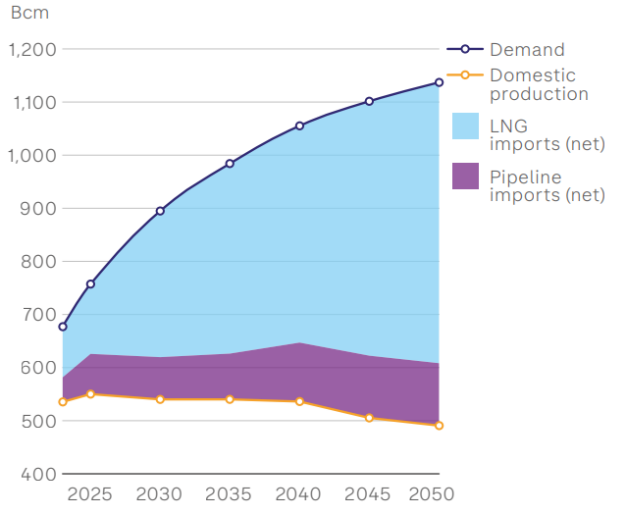
- Montney-focused and gas-weighted with relatively low liquids contribution
- Owns/operates some midstream infrastructure, but not as much as TOU
- Less diverse operations and mainly focused on natural gas (only 18% liquids)
- Pricing diversification is limited to AECO, Dawn, and Henry Hub
- Currently no direct international pricing exposure, but is part of Rockies LNG consortium (as is TOU)

ADVANTAGE ENERGY LTD.

- Operates primarily in the Montney, with additional exposure to the Charlie Lake Formation across Western Canada.
- Production is heavily weighted to natural gas, with roughly ~15% liquids/oil (condensate + NGLs)
- Marketing is more North America–focused with limited direct LNG exposure
- Owns the majority of Entropy Inc., which is focused on commercializing energy-transition technologies, and has been expanding into carbon storage hubs

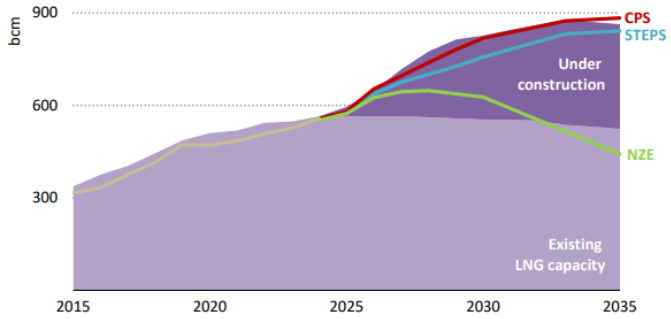
Appendix 11: LNG Demand

Natural gas S&D in emerging Asian Economies in Current Trajectory



Source: BP Energy outlook 2025

LNG Export Capacity vs Demand under different IEA scenarios

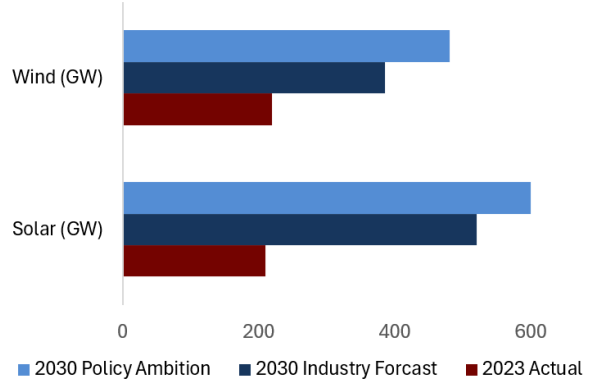


Source: IEA WEO 2025

Shrinking Surplus: The IEA's 2025 STEPS revision significantly boosted demand projections, halving the anticipated 2030 LNG glut from 130 bcm to 65 bcm.

Growth Drivers: LNG Demand primarily fueled by the massive electricity needs of data centres and emerging economies, as well as slower-than-expected transition to renewables.

Figure 29: REPowerEU Ambitions vs Forecasts



Source: Shell Energy Outlook 2025

Appendix 12: Select Regulatory Background

Greenwashing Amendments to the Competition Act (Bill C-59)

- Amends the Competition Act to deter "greenwashing" (misleading environmental claims)
- Companies must be able to back up environmental claims with evidence before making them public
- Many Canadian oil & gas firms pulled back sustainability disclosures

Canada-Alberta Memorandum of Understanding (MOU)

- Under the MOU, Canada agreed to pause the Clean Energy Regulations (CER) in Alberta in exchange for stronger provincial carbon pricing and carbon capture
- Many details, including carbon pricing equivalency, will be finalized by April 1, 2026
- Many people remain uncertain about whether the agreement will be fully translated into formal policy by the April deadline

Alberta Bill 8: Utilities Statutes Amendment Act, 2025

- Encourages large data centres to bring their own electricity generation to meet their power needs
- helps reduce barriers to entry for large data centres by allowing them to bypass the traditional grid connection queue
- Facilities that provide their own power generation are prioritized through an accelerated regulatory approval process



Source: Government of Alberta, Government of Canada, AESO

Appendix 13: Alberta's Power Generation Options

For data centres that want to "bring their own power," natural gas is the only economically viable option in the near term. Bill 8 allows for fast-tracked projects, and Canadian natural gas prices remain very cheap with abundant supply. Alternative options are either too capital intensive, too slow to deploy, unreliable for 24/7 power, or simply too risky.

Nuclear (SMRs)

- Operates with zero carbon emissions and provides 24/7 power
- massive upfront investment compared to traditional gas turbines
- Units will not be ready for use until at least 2030 since Alberta the lacks established regulations needed to build these quickly

Solar and Wind

- Provides cheap, zero-carbon electricity
- Does not provide steady power and requires massive battery systems and natural gas backups to maintain 24/7 uptime
- Large-scale projects are currently facing slower approvals due to new 2025/2026 Alberta rules regarding land use and pristine viewscapes.

Geothermal

- Operates with zero carbon emissions and provides 24/7 power
- Upfront construction costs are very high due to the expensive and specialized drilling
- High-risk of failing to locate adequate "hot spots"
- Most of Alberta's accessible geothermal resources are low-to-medium grade

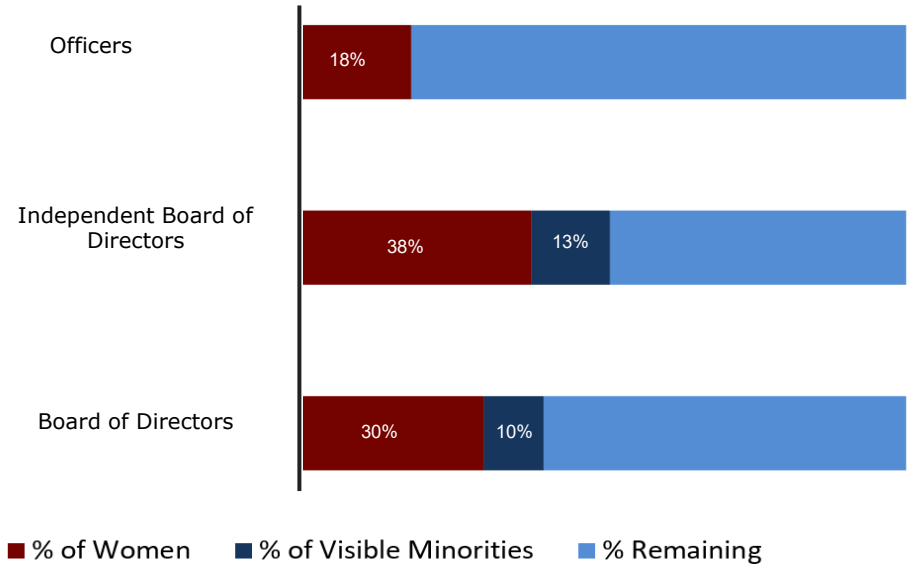
Source: Government of Alberta, Government of Canada, AESO

Appendix 14: ESG Score Card

Environmental	TOU	ARX	PEY	POU
GHG Emissions	25% reduction in methane emissions intensity vs. 2020 baseline. Clear goals/targets including a 55% methane intensity reduction by 2027. $40-60 million investment allocated per year to Environmental Performance Improvement program.	Targeting a 20% decrease in GHG and methane emissions intensity. Historically strong emissions intensity (lowest among Canadian peers in 2020). However, has limited public disclosure of the most recent emission updates.	Emissions intensity broadly similar to TOU (2021–2023), with much less production growth. 28% reduction in emissions intensity from 2013–2021, a Smaller improvement than TOU over the same period.	Lowest disclosed emissions intensity in 2024. However, methane represents a larger share of total emissions vs. peers. Limited quantitative targets and limited capex detail tied to emissions reductions.
Water Management	Commitment to eliminate freshwater use across core gas operations. Lowest freshwater-use intensity among Alberta producers. Recycled water per well doubled from 2020–2024. Flowback recycled is the highest amongst peers at 95%	Focus on reducing freshwater use in drilling/completions via innovation and design optimization. No clear quantitative targets disclosed. Lower score driven by limited public disclosure.	Targets 80% recycling of flowback during fracturing. Lower score driven by lack of recent public disclosure.	Limited visible progress or initiatives on water management, with zero flowback recycled in 2024.
Score	3	2	2	1
Social				
Employee Well-being and diversity	Significant investment in employee training. 42% reduction in TRIF (injury frequency) since 2020. Moderate board diversity.	29% women in the workforce (2022) (below peers), with no recent disclosure. Has various support programs, including physical and mental health initiatives.	Low voluntary turnover, averaging 2% over the past five years. Highest share of women among peers at 40%.	31% of the workforce is women (lower than peers). 38% women on the board (above peers). Much lower training spend per employee than TOU ($778 vs. $1,946).
Indigenous Engagement	$600k Indspire bursary commitment. 150+ Indigenous vendors integrated into the supply chain. Commitment to pre-engagement and long-term relationships.	Commitment to pre-engagement and building employee knowledge. Involvement in various communities. Indspire-related scholarships, but no figures disclosed.	Commitment to working with Indigenous communities and has a citizen of the Métis Nation of Alberta on its board of directors. No quantitative targets or financial figures disclosed.	Notes most lands are not on reserve or settlement lands. Engagement with Indigenous communities in accordance with applicable legislation.
Score	4	3	3	2
Governance				
Management and Directors	Michael Rose is both the CEO and Chairman. 6/10 executives have worked together since before TOU's founding.	Very diverse board with 91% independent (highest among peers). Independent Chair and low tenure.	3/8 directors are current or former CEOs (including the Chair). Donald Gray, former CEO, is classified as independent.	James H.T. Riddell serves as both Chairman and CEO. Riddell family holds controlling interest in the company (collectively directing over 45% of the outstanding shares)
Compensation Structure	Discretionary nature of the at-risk pay provides less transparency compared to most peers.	More detailed disclosure on how at-risk pay is determined. STI and LTI tied to explicit scorecards	Defined as-risk component of compensation tied to proved reserve growth and TSR.	Discretionary nature of the bonus plan is similar to TOU. Above median compensation vs peers.
Score	2	4	2	1
Overall Score	3	2.75	2.25	1.25

Appendix 15: ESG Analysis - Social

TOU has achieved its goal of 30% female representation on the Board of Directors



TOU is committed to its employees' wellbeing

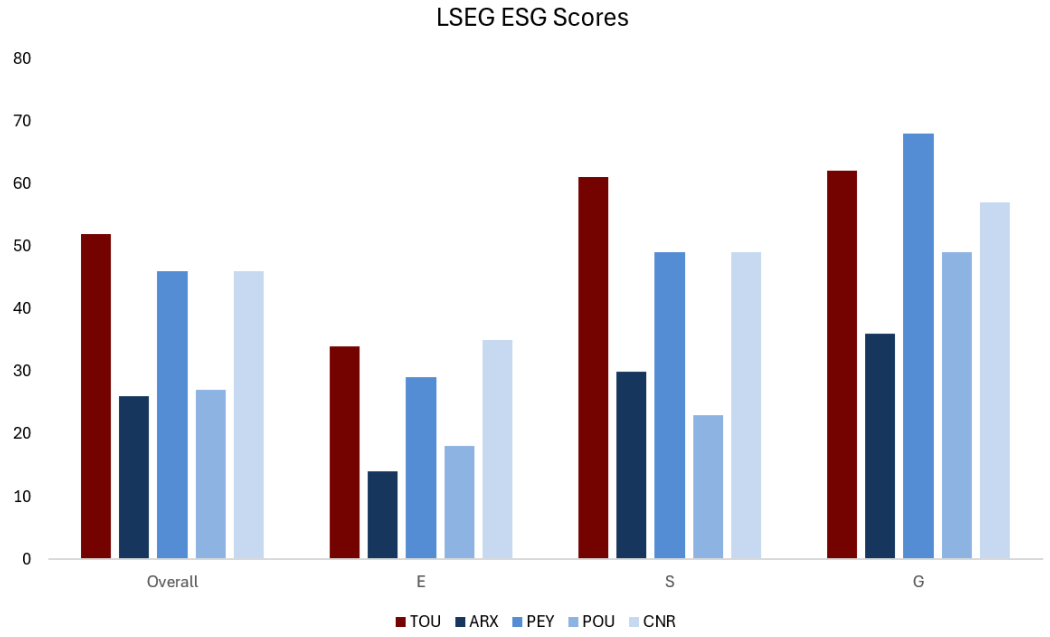
- Has grown training investments per employee by 170% since 2020, while their workforce has grown by 50%
- Low voluntary turnover at 5%

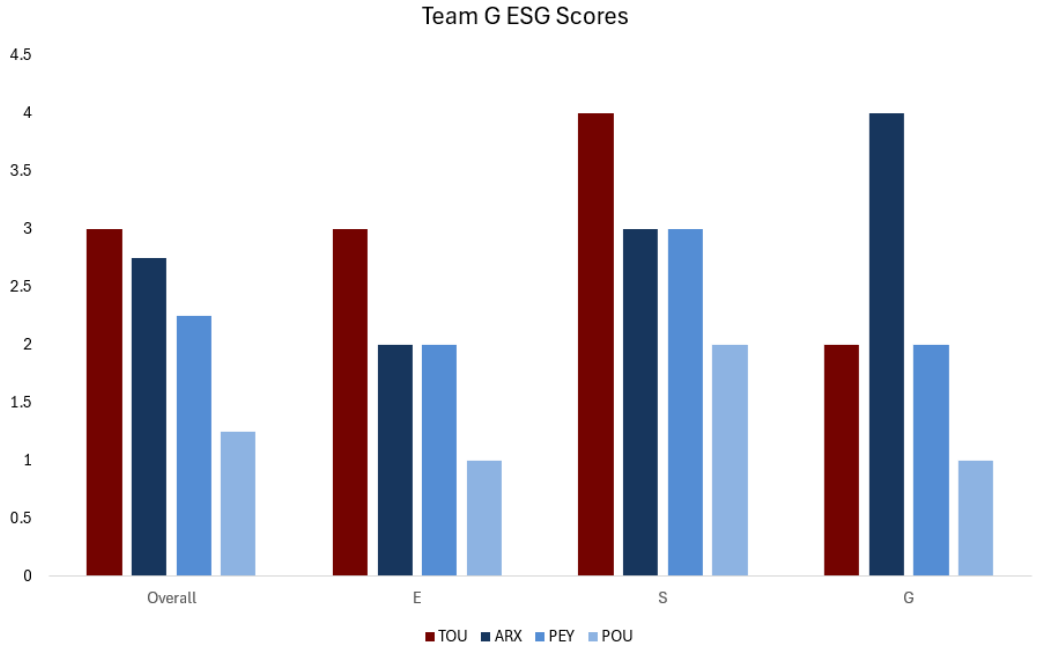
TOU prioritizes Indigenous engagement

- Emphasizes early and meaningful engagement
- has integrated over 150 Indigenous owned businesses into its vendor list
- Committed to indigenous education, investing over $600,000 over six years to the Inspire bursary program
- Employees and leaders actively participate in local cultural traditions and events

Source: Company Filings

Appendix 16: ESG Scores





Appendix 17: TOU's Approach to Improving its Environmental Footprint

Replace gas-powered equipment with systems that run on electricity or compressed air so that no greenhouse gases are released during operation.

Actively evaluating carbon capture and storage opportunities

Track and stop leaks using satellites, aerial surveys, constant sensors, and ground-level inspections.

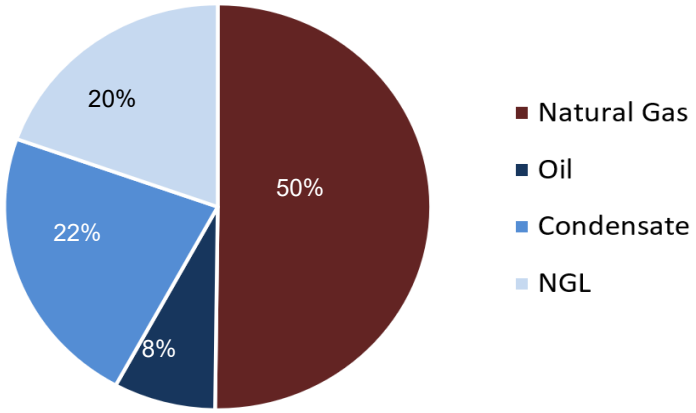
Modernize legacy acquired assets (Integrate, investigate, improve) and electrify facilities to reduce emissions.

TOU plans to invest $80 million over the next two to three years on water recycling and management facilities. They have 95% of flowback in 2024 and have the lowest freshwater use amongst Alberta Producers

Source: Company Filings

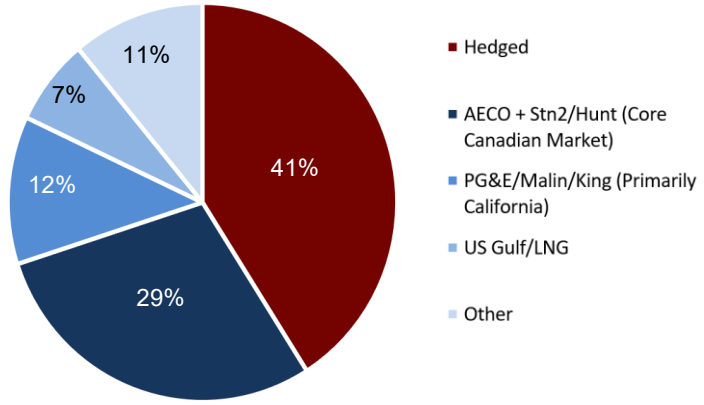
Appendix 18: Product Revenue Mix & Pricing Exposure

2024 Product Revenue Mix



Company Filings

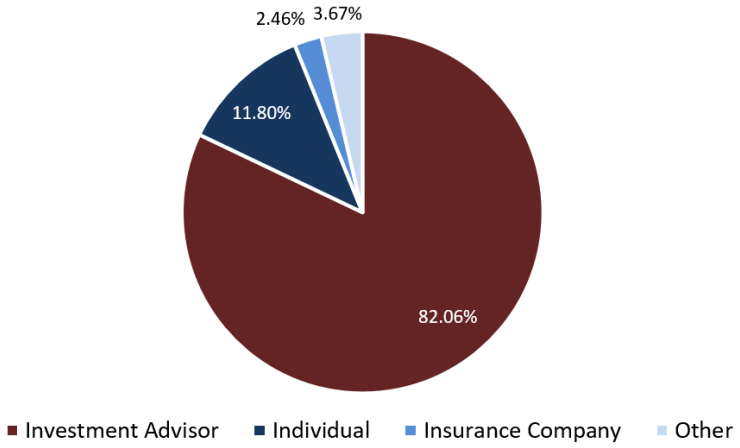
2025 Pricing Exposure



Nov. 2025 Presentation

Appendix 19: Shareholder Composition & Top Shareholders

Shareholder Composition



Holder Name	Num. of Common shares	% Out
Capital Group Cos Inc	18,682,338	4.83
Rose Michael	17,245,359	4.46
Vanguard Group Inc	15,570,593	4.02
Blackrock Group Inc	14,084,711	3.64
1832 Asset Management LP	11,846,422	3.06
Dimensional Fund Advisors LP	10,592,593	2.74
Royal Bank of Canada	8,641,058	2.23
Davis Selected Advisers LP	6,387,966	1.65
Canoe Financial LP	5,459,199	1.41

Source: Bloomberg

Appendix 20: Valuation General Info

Current Share Price:	*$ as Stated*	$58.35
Diluted Share Count:	*M Shares*	387.011
Last Historical Year:	*Date*	2024-12-31
Units:	#	1,000
Effective Tax Rate:	%	22.50%
Reserve Discount Rate :	%	10.00%
Bbl to Mcfe Conversion Factor:	#	6

Tourmaline Production Breakdown:		
% Natural Gas:	%	75.30%
% Natural Gas Liquids (NGLs):	%	16.50%
% Oil:	%	8.20%

Source: Company Filings

Appendix 21: NAV per Share – Sensitivity Tables

NAV per Share (NAVPS) - Sensitivity Tables:

Proved Developed Production Decline Rate:	Commodity Price Case: Low	Mid	High
14.00%	$40.37	$65.44	$90.40
13.00%	40.65	65.95	91.14
12.00%	**40.86**	**66.38**	**91.78**
11.00%	41.07	66.8	92.43
10.00%	41.27	67.23	93.08

Average EUR per PUD Well (Mmcfe):	Commodity Price Case: Low	Mid	High
30,000	$48.68	$74.83	$100.91
25,000	47.03	73.04	98.98
20,000	44.69	70.54	96.34
10,000	**40.86**	**66.38**	**91.78**
5,000	33.56	58.45	83.19

Average 12-Month IP Rate per PUD Well (Mmcfe / d):	Commodity Price Case: Low	Mid	High
5.4	$46.83	$75.19	$103.40
4.4	44.26	71.32	98.26
3.4	**40.86**	**66.38**	**91.78**
2.4	36.54	60.23	83.84
1.4	32.02	53.84	75.59

Average Initial D&C Cost per Well ($M):	Commodity Price Case: Low	Mid	High
$12.25	$38.06	$63.59	$89.00
11.25	39.46	64.98	90.4
10.25	**40.86**	**66.38**	**91.79**
9.25	42.26	67.77	93.18
8.25	43.66	69.17	94.57

Source: Company Filings

Appendix 22: Proved Developed (PD) Reserve Assumptions

Proved Developed Reserve Assumptions:		
PD Reserves (Net of WI and Royalties):	*Mmcfe*	7,147,465.0
Current PDP Daily Production:	*Mmcfe / d*	3,475
Proved Developed Production Decline Rate:	*%*	12%
Estimated Reserve Life Ratio:	*# Years*	11.7

Future Maintenance CapEx % D&C CapEx:	*%*	20%
Future Maintenance CapEx:	*$ M*	1,587.70

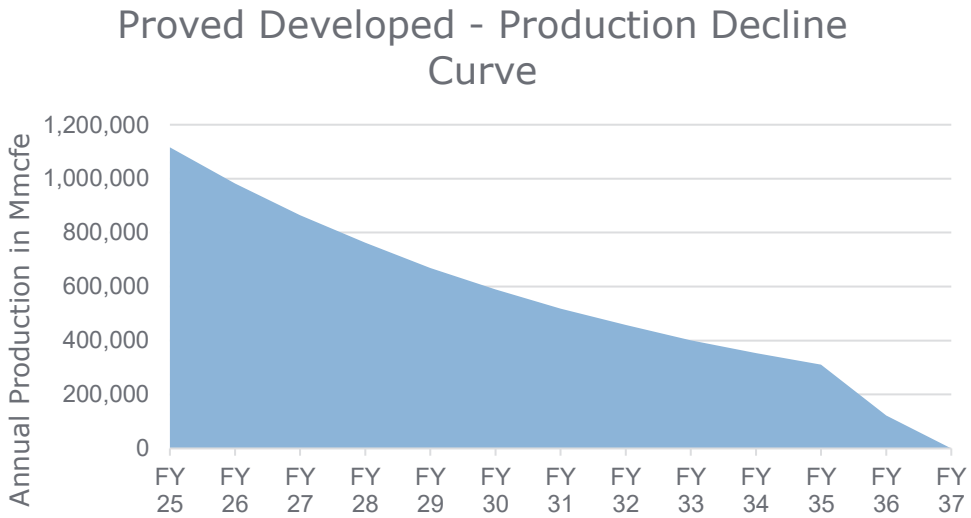
Net PP&E Balance to Depreciate/Deplete:	*$ M*	6,424.20

Source: Company Filings

Appendix 23: Proved Developed – Production Decline Curve

Proved Developed Reserves - Annual Production and Decline Rates:

Period	Year	Days	Beginning Reserves	Production (Mmcfe): Daily	Annual	Ending Reserves
0	FY 24			3,475		
1	FY 25	365	7,147,465	3,058	1,116,158	6,031,307
2	FY 26	365	6,031,307	2,691	982,219	5,049,088
3	FY 27	365	5,049,088	2,368	864,353	4,184,736
4	FY 28	366	4,184,736	2,084	762,714	3,422,022
5	FY 29	365	3,422,022	1,834	669,355	2,752,667
6	FY 30	365	2,752,667	1,614	589,032	2,163,635
7	FY 31	365	2,163,635	1,420	518,348	1,645,287
8	FY 32	366	1,645,287	1,250	457,396	1,187,890
9	FY 33	365	1,187,890	1,100	401,409	786,482
10	FY 34	365	786,482	968	353,240	433,242
11	FY 35	365	433,242	852	310,851	122,391
12	FY 36	366	122,391	749	122,391	-
13	FY 37	365	-	660	0	-
Subtotal:					**7,147,465**	
Remainder:					0	
Total:					**7,147,465**	



Source: Company Filings, Team Analysis

Appendix 24: Proved Undeveloped (PUD) Reserve Assumptions

Proved Undeveloped (PUD) Well Assumptions:		
PUD Reserves (Net of WI and Royalties):	*Mmcfe*	7,743,558.0
Average EUR per Well:	*Mmcfe*	10,000
Potential Future Locations (Net):	*# Wells*	774
# New Net Wells Drilled per Year:	*# Wells*	261
Low	*# Wells*	160
Mid	*# Wells*	261
High	*# Wells*	365
First Year Production % EUR:	*%*	12.50%
12-Month IP Rate:	*Mmcfe / d*	3.40
Initial D&C Cost Per Well:	*$ M*	10.25
Future D&C CapEx:	*$ M*	7,938.30

Source: Company Filings

Appendix 25: NAV Expense Assumptions

Expense Assumptions:	Period:	Production Taxes:	Lease OpEx:	Transport. & Processing:
	Year 1	0.72	0.16	0.81
	Year 2	0.75	0.16	0.84
	Year 3	0.75	0.16	0.85
	Year 4	0.75	0.16	0.84
	Year 5	0.74	0.15	0.84
	Long-Term	0.75	0.15	0.85

Tourmaline Oil - Expense Projections (Mcfe)

	Historical					Projected				
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Production:	$ 0.52	$ 0.63	$ 0.72	$ 0.75	$ 0.79	$ 0.72	$ 0.75	$ 0.75	$ 0.75	$ 0.74
Taxes, Transportation & Other:	$ 0.75	$ 0.71	$ 0.82	$ 0.88	$ 0.85	$ 0.81	$ 0.84	$ 0.85	$ 0.84	$ 0.84
G&A (Exc. Stock-Based Comp.):	$ 0.04	$ 0.09	$ 0.10	$ 0.11	$ 0.13	$ 0.11	$ 0.11	$ 0.11	$ 0.12	$ 0.11
Other Property Additions:	$ 0.05	$ 0.05	$ 0.05	$ 0.05	$ 0.04	$ 0.05	$ 0.05	$ 0.05	$ 0.04	$ 0.04
Total Expenses Per Mcfe:	**$ 1.36**	**$ 1.47**	**$ 1.68**	**$ 1.79**	**$ 1.81**	**$ 1.69**	**$ 1.74**	**$ 1.76**	**$ 1.75**	**$ 1.74**

Source: Company Filings

Appendix 26: Forecasted Production Profile

Tourmaline Oil - Production Profile										
	Historical					Projected				
December 31,	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
in 000's										
Days in Year:	366	365	365	365	366	365	365	365	366	365
Average Daily Production:										
Light & Medium Crude Oil (Bbl/d)	28.05	37.58	42.93	44.91	46.98	49.32	51.79	54.38	57.10	59.95
Conventional Natural Gas (Mcf/d)	927.04	1266.69	1285.00	1281.15	1476.46	1505.98	1536.10	1566.83	1598.16	1630.13
Shale Natural Gas (Mcf/d)	549.42	795.57	1045.43	1128.25	1166.89	1248.58	1335.98	1429.49	1529.56	1636.63
Natural Gas Liquids (Bbl/d)	36.43	59.58	69.53	73.83	91.63	97.12	102.95	109.13	115.68	122.62
Total Daily (Boe/d):	**310.56**	**440.87**	**500.87**	**520.31**	**579.16**	**605.54**	**633.42**	**662.90**	**694.06**	**727.03**
% of Light & Medium Crude Oil	9.03%	8.52%	8.57%	8.63%	8.11%	8.15%	8.18%	8.20%	8.23%	8.25%
% of Conventional Natural Gas	49.75%	47.89%	42.76%	41.04%	42.49%	41.45%	40.42%	39.39%	38.38%	37.37%
% of Shale Natural Gas	29.49%	30.08%	34.79%	36.14%	33.58%	34.37%	35.15%	35.94%	36.73%	37.52%
% of Gas TOTAL	*79.24%*	*77.96%*	*77.55%*	*77.18%*	*76.07%*	*75.82%*	*75.57%*	*75.33%*	*75.11%*	*74.89%*
% of Natural Gas Liquids	11.73%	13.51%	13.88%	14.19%	15.82%	16.04%	16.25%	16.46%	16.67%	16.87%
Total Daily %:	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company Filings

Appendix 27: Relative Valuation

Relative Valuation *$ in millions (CAD)*				EV/EBITDA		EV/BOE/D	
Company Name	Ticker	Weight	Enterprise Value	EBITDA FY2026	EV/EBITDA FY2026	Daily Production (boe/d) FY2026	EV/boe/d
ARC Resources Ltd	ARX	30%	$ 17,284	$ 3,541.50	4.88	413.20	41.83
Peyto Exploration & Development Corp	PEY	20%	$ 5,621	$ 1,140.80	4.93	144.20	38.98
EQT Corp (US)	EQT	20%	$ 60,527	$ 9,410.47	6.43	1014.72	59.65
Antero Resources Corporation (US)	AR	15%	$ 18,675	$ 3,508.44	5.32	570.20	32.75
Range Resources (US)	RRC	10%	$ 12,937	$ 2,261.42	5.72	402.10	32.17
Comstock Resources (US)	CRK	5%	$ 13,448	$ 1,882.01	7.15	228.50	58.85
Comparable Set	**Average**		**$ 23,182**	**4,019.21**	**5.46**	**492.91**	**43.35**
Comparable Set	**Median**		**$ 15,366**	**2,884.93**	**5.32**	**407.65**	**40.40**
Tourmaline Oil Corp	**TOU**		**$ 24,054**	**4,322.40**	**5.57**	**639.00**	**37.64**

Valuation Method - EV/boe/d		
Implied EV		27,698.76
Net Debt		1,304
Diluted Shares Outstanding		387
Equity Value		26,395
Implied Share Price	**$ 68.20**	
Current Share Price	**$ 58.35**	
Upside		**16.89%**

Valuation Method - EV/boe/d		
Implied EV		25,817.97
Net Debt		1,304
Diluted Shares Outstanding		387
Equity Value		24,514
Implied Share Price	**$ 63.34**	
Current Share Price	**$ 58.35**	
Upside		**8.56%**

Source: Company Filings

Appendix 28: TOU Natural Gas & Sulphur Pricing

Natural Gas and Sulphur Pricing

	NYMEX Henry Hub Near Month Contract					Alberta Plant Gate			Saskatchewan Plant Gate			British Columbia			
						Spot									
Year	Constant 2025 $US/ MMbtu	Then Current $US/MMbtu	Midwest Price @ Chicago Then Current $US/ MMbtu	AECO/NIT Spot Then Current $Cdn/ MMbtu	Dawn Price @ Ontario Then Current $US/MMbtu	Constant 2025 $Cdn/ MMbtu	Then Current $Cdn/ MMbtu	ARP $Cdn/ MMbtu	SaskEnergy $Cdn/ MMbtu	Spot $Cdn/ MMbtu	Huntingdon/ Sumas Spot $US/ MMbtu	Westcoast Station 2 $Cdn/ MMbtu	Spot Plant Gate $Cdn/ MMbtu	Dutch TTF $US/ MMbtu	JKM $US/ MMbtu
2025	3.31	3.31	3.05	2.36	3.01	2.15	2.15	2.15	2.58	2.17	3.01	2.15	1.82	12.77	13.47
2026	3.65	3.73	3.53	3.33	3.49	3.05	3.11	3.11	3.55	3.14	3.79	3.15	2.81	11.18	11.73
2027	3.70	3.85	3.66	3.48	3.61	3.13	3.26	3.26	3.70	3.29	3.94	3.29	2.96	11.05	11.50
2028	3.71	3.93	3.73	3.69	3.69	3.26	3.46	3.46	3.90	3.50	4.02	3.50	3.16	11.55	12.28
2029	3.70	4.01	3.82	3.76	3.77	3.26	3.53	3.53	3.97	3.57	4.10	3.57	3.23	11.78	12.51
2030	3.70	4.09	3.89	3.83	3.85	3.26	3.60	3.60	4.05	3.64	4.18	3.64	3.30	12.02	12.76
2031	3.70	4.17	3.97	3.91	3.93	3.26	3.68	3.68	4.13	3.72	4.26	3.71	3.37	12.26	13.00
2032	3.70	4.26	4.05	3.99	4.02	3.27	3.75	3.75	4.21	3.80	4.35	3.79	3.45	12.50	13.26
2033	3.70	4.34	4.13	4.07	4.10	3.27	3.83	3.83	4.29	3.88	4.44	3.87	3.52	12.75	13.36
2034	3.70	4.43	4.21	4.15	4.18	3.27	3.91	3.91	4.37	3.96	4.53	3.94	3.60	13.00	13.63
2035	3.70	4.52	4.30	4.24	4.27	3.27	3.99	3.99	4.46	4.04	4.62	4.02	3.67	13.27	14.35
2036	3.70	4.61	4.39	4.32	4.36	3.27	4.07	4.07	4.55	4.12	4.71	4.10	3.74	13.53	14.62
2037	3.71	4.70	4.48	4.41	4.45	3.27	4.15	4.15	4.64	4.21	4.81	4.19	3.82	13.80	14.91
2038	3.70	4.79	4.56	4.49	4.54	3.27	4.23	4.23	4.74	4.29	4.91	4.27	3.89	14.08	15.20
2039	3.70	4.89	4.65	4.58	4.63	3.27	4.32	4.32	4.83	4.38	5.00	4.35	3.97	14.36	15.50
2040+	3.70	+2.0%/yr	+2.0%/yr	+2.0%/yr	+2.0%/yr	3.27	+2.0%/yr	+2.0%/yr	+2.0%/yr	+2.0%/yr	+2.0%/yr	+2.0%/yr	+2.0%/yr	+2.0%/yr	+2.0%/yr

Source: Company Filings

Appendix 29: TOU Natural Gas & Sulphur Pricing Part 2

Price Deck:	Period:	Selected:	Low	Mid	High
Natural Gas Prices:	Year 1	$ 4.85	$ 3.63	$ 4.85	$ 6.06
	Year 2	4.58	$ 3.44	$ 4.58	$ 5.73
	Year 3	5.09	$ 3.82	$ 5.09	$ 6.36
	Year 4	4.94	$ 3.70	$ 4.94	$ 6.17
	Year 5	4.80	$ 3.60	$ 4.80	$ 6.00
	Long-Term	4.25	$ 3.50	$ 4.25	$ 5.00
Natural Gas Liquids (NGLs):	Year 1	$ 39.35	$ 25.83	$ 39.35	$ 55.34
	Year 2	36.68	$ 24.07	$ 36.68	$ 51.58
	Year 3	35.29	$ 23.16	$ 35.29	$ 49.63
	Year 4	34.46	$ 22.61	$ 34.46	$ 48.46
	Year 5	33.92	$ 22.26	$ 33.92	$ 47.70
	Long-Term	38.00	$ 31.50	$ 38.00	$ 45.00
Oil:	Year 1	$ 98.38	$ 73.79	$ 98.38	$ 122.98
	Year 2	91.69	$ 68.77	$ 91.69	$ 114.61
	Year 3	88.23	$ 66.17	$ 88.23	$ 110.28
	Year 4	86.15	$ 64.61	$ 86.15	$ 107.69
	Year 5	84.80	$ 63.60	$ 84.80	$ 106.01
	Long-Term	95.00	$ 90.00	$ 95.00	$ 100.00

Source: Bloomberg

Appendix 30: TOU Summary of Oil & Gas Reserves

Reserves Category	Light & Medium Crude Oil		Conventional Natural Gas		Shale Natural Gas		Natural Gas Liquids		Total Oil Equivalent	
	Company Gross (Mbbls)	Company Net (Mbbls)	Company Gross (MMcf)	Company Net (MMcf)	Company Gross (MMcf)	Company Net (MMcf)	Company Gross (Mbbls)	Company Net (Mbbls)	Company Gross (Mboe)	Company Net (Mboe)
Proved Developed Producing	19,424	15,523	2,947,051	2,635,837	3,183,306	2,701,494	304,203	241,859	1,345,354	1,146,938
Proved Developed Non-Producing	1,249	950	68,669	60,791	166,022	145,573	11,724	8,963	52,088	44,307
Proved Undeveloped	45,302	34,380	2,780,509	2,471,795	4,111,107	3,560,197	320,826	250,881	1,514,731	1,290,593
Total Proved	65,976	50,853	5,796,229	5,168,424	7,460,434	6,407,264	636,753	501,704	2,912,173	2,481,838
Total Probable	53,356	40,852	3,876,118	3,382,789	7,704,191	6,451,295	599,632	439,860	2,583,039	2,119,726
Total Proved Plus Probable	119,331	91,704	9,672,347	8,551,213	15,164,625	12,858,558	1,236,385	941,565	5,495,212	4,601,564

Source: Company Filings

Appendix 31: Income Statement

Bloomberg

Financial Statement Analysis

Ticker: TOU CN Equity | Periodicity: Annuals | Currency: CAD | Note: Years shown on the report are Fiscal Years | Company: Tourmaline Oil Corp

Filing: Most Recent

BBG Adjusted

	Original:2021 A	Original:2022 A	Original:2023 A	Original:2024 A	Current/LTM	Estimate:2025 A	Estimate:2026 A	Estimate:2027 A	Estimate:2028 A	Estimate:2029 A
For the period ending	2021-12-31	2022-12-31	2023-12-31	2024-12-31	2025-9-30	2025-12-31	2026-12-31	2027-12-31	2028-12-31	2029-12-31
Revenue	4,381.13	6,730.40	6,195.73	5,669.43	6,147.94	5,667.75	7,725.63	8,157.29	7,622.50	7,794.50
+ Sales & Services Revenue	5,053.61	8,110.84	5,351.25	4,729.77	4,732.06					
+ Other Revenue	-672.48	-1,380.43	844.48	939.66	1,415.88					
- Cost of Revenue	732.14	942.20	1,030.58	1,151.72	1,271.95					
+ Cost of Goods & Services	732.14	942.20	1,030.58	1,151.72	1,271.95					
+ Depreciation & Amortization										
Gross Profit	3,648.99	5,788.20	5,165.15	4,517.71	4,875.99	3,559.52	4,950.43	5,341.55		
+ Other Operating Income	0.00	0.00	0.00	0.00	0.00					
- Operating Expenses	1,557.53	2,102.23	2,339.14	2,786.46	2,675.85					
+ Selling, General & Admin	87.25	103.37	128.23	164.10	186.04					
+ General & Administrative	87.25	103.37	128.23	164.10	186.04					
+ Research & Development	0.00	0.00	0.00	0.00						
+ Depreciation & Amortization	846.54	1,184.52	1,303.44	1,551.96	1,710.80					
+ Other Operating Expense	623.74	814.34	907.47	1,070.40	779.02					
Operating Income (Loss)	2,091.46	3,685.97	2,826.01	1,731.25	2,200.13	1,823.60	2,555.60	2,792.80	2,000.00	2,050.00

Source: Company Filings

Appendix 32: Balance Sheet

Bloomberg

Financial Statement Analysis

Ticker: TOU CN Equity | Periodicity: Annuals | Currency: CAD | Note: Years shown on the report are Fiscal Years | Company: Tourmaline Oil Corp

Filing: Most Recent

	Restated:2015 A	Restated:2016 A	Restated:2017 A	Restated:2018 A	Original:2019 A	Original:2020 A	Original:2021 A	Original:2022 A	Original:2023 A	Original:2024 A
For the period ending	2015-12-31	2016-12-31	2017-12-31	2018-12-31	2019-12-31	2020-12-31	2021-12-31	2022-12-31	2023-12-31	2024-12-31
Pension Obligations	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Future Minimum Operating Lease Obligations	22.97	17.87	12.31	31.79	12.79	13.89	12.99	20.20	43.71	40.14
Capital Leases - Total	0.00	0.00	0.00	0.00						
Options Granted During Period	4.69	3.41	3.99	4.29	3.85	3.92	5.69	4.07	4.16	5.14
Options Outstanding at Period End	19.75	20.04	20.95	20.45	19.15	18.32	16.37	12.54	14.22	17.42
Net Debt	1,266.60	1,406.59	1,534.76	1,476.10	1,629.89	1,734.27	880.74	629.26	1,126.54	1,304.16
Net Debt to Equity	24.21	20.78	21.27	19.50	20.46	18.70	7.59	4.60	8.04	8.39
Tangible Common Equity Ratio	68.10	72.04	70.60	70.29	69.63	68.87	75.90	72.44	69.74	69.67
Current Ratio	0.48	0.49	0.58	0.58	0.65	1.22	0.66	1.56	0.81	0.89
Number of Employees	186.00	153.00	167.00	188.00	190.00	225.00	242.00	265.00	288.00	288.00

Source: Bloomberg

Appendix 33: Cashflow Statement

Bloomberg

Financial Statement Analysis

Ticker: TOU CN Equity | Periodicity: Annuals | Currency: CAD | Note: Years shown on the report are Fiscal Years | Company: Tourmaline Oil Corp

Filing: Most Recent

Standardized

	Restated:2016 A	Restated:2017 A	Restated:2018 A	Original:2019 A	Original:2020 A	Original:2021 A	Original:2022 A	Original:2023 A	Original:2024 A	Current/LTM
For the period ending	2016-12-31	2017-12-31	2018-12-31	2019-12-31	2020-12-31	2021-12-31	2022-12-31	2023-12-31	2024-12-31	2025-9-30
Cash from Operating Activities										
+ Net Income	-31.97	346.77	401.42	319.74	618.31	2,025.99	4,487.05	1,735.88	1,264.11	1,325.12
+ Depreciation & Amortization	666.18	774.26	798.67	853.39	1,138.37	846.54	1,184.52	1,303.44	1,551.96	1,711.24
+ Non-Cash Items	97.59	84.73	103.38	32.41	-570.99	56.59	-775.68	1,059.11	-59.18	350.18
+ Stock-Based Compensation	22.82	19.13	18.23	13.82	10.18	16.45	28.73	50.30	63.86	68.46
+ Deferred Income Taxes	-3.17	151.79	165.40	-21.14	0.93	494.02	1,407.31	12.20	309.66	351.78
+ Other Non-Cash Adj	77.94	-86.20	-80.25	39.73	-582.10	-453.87	-2,211.72	996.62	-432.69	-70.06
+ Chg in Non-Cash Work Cap	-34.90	-22.86	-33.97	-30.61	-60.55	-82.01	-203.15	307.66	-27.12	-33.52
+ (Inc) Dec in Inventories	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
+ Inc (Dec) in Other	-34.90	-22.86	-33.97	-30.61	-60.55	-82.01	-203.15	307.66	-27.12	-33.52
+ Net Cash From Disc Ops	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Cash from Operating Activities	696.90	1,182.90	1,269.49	1,174.93	1,125.14	2,847.12	4,692.73	4,406.09	2,729.78	3,353.02

Reference Items										
EBITDA	678.18	1,327.92	1,418.03	1,226.93	1,793.87	3,423.99	7,142.34	3,547.79	3,330.68	3,582.67
Trailing 12M EBITDA	56.69	71.68	67.92	57.95	81.60	78.15	106.12	57.26	58.75	58.27
Margin										
Net Cash Paid for Acquisitions					100.82	0.00	67.77	650.99	169.04	
Free Cash Flow	-1,284.39	-228.31	-17.12	-120.44	41.28	864.19	2,741.89	2,325.05	470.63	412.85
Free Cash Flow to Firm		-197.50	19.51		83.34	894.48	2,764.64	2,355.47	532.66	491.77
Free Cash Flow to Equity	-1,144.41	-100.14	-75.78	17.38	73.82	-539.38	2,484.30	2,690.51	274.41	-117.52
Free Cash Flow per Basic Share	-5.49	-0.85	-0.06	-0.44	0.15	2.77	8.17	6.82	1.32	1.09
Price to Free Cash Flow					113.08	14.74	8.36	8.74	50.46	56.30
Cash Flow to Net Income		3.41	3.16	3.67	1.82	1.41	1.05	2.54	2.16	4.48

Source: Bloomberg

Appendix 34: Ratios

Bloomberg

Financial Statement Analysis

Ticker: TOU CN Equity | Periodicity: Annuals | Currency: CAD | Note: Years shown on the report are Fiscal Years | Company: Tourmaline Oil Corp

Filing: Most Recent

Profitability

	Restated:2015 A	Restated:2016 A	Restated:2017 A	Restated:2018 A	Original:2019 A	Original:2020 A	Original:2021 A	Original:2022 A	Original:2023 A	Original:2024 A
For the period ending	2015-12-31	2016-12-31	2017-12-31	2018-12-31	2019-12-31	2020-12-31	2021-12-31	2022-12-31	2023-12-31	2024-12-31
Returns										
Return on Common Equity	1.66	-0.54	4.98	5.45	4.17	7.45	19.85	35.48	12.53	8.55
Return on Assets	1.12	-0.38	3.55	3.84	2.92	5.16	14.43	26.25	8.90	5.96
Return on Capital	1.62	-0.04	4.46	4.93	3.92	6.34	17.37	33.65	11.99	8.29
Return on Invested Capital	1.57	0.03	4.27	4.55	3.70	5.94	16.48	29.84	10.28	7.20
Margins										
Gross Margin		86.29	85.29	82.57	79.05	74.64	83.29	86.00	83.37	79.69
EBITDA Margin	70.11	56.69	71.68	67.92	57.95	81.60	78.15	106.12	57.26	58.75
Operating Margin	16.14	1.00	29.89	29.67	17.64	29.82	58.83	88.52	36.22	31.37
Incremental Operating Margin		-232.26	82.53	27.94		347.40	88.05	143.89	-694.53	-88.47
Pretax Margin	12.65	-3.01	26.93	27.16	14.12	28.18	57.60	87.76	35.18	29.24
Income before XO Margin	6.13	-2.75	18.73	19.24	15.11	28.14	46.32	66.67	28.02	22.30
Net Income Margin	6.26	-2.67	18.72	19.23	15.10	28.12	46.24	66.67	28.02	22.30
Net Income to Common Margin	6.26	-2.67	18.72	19.23	15.10	28.12	46.24	66.67	28.02	22.30
Additional										
Effective Tax Rate	51.52		30.43	29.17		0.15	19.58	24.03	20.35	23.75
Dvd Payout Ratio	0.00		0.00	0.00	39.10	22.00	21.87	59.09	128.68	93.77
Sustainable Growth Rate	1.66		4.98	5.45	2.54	5.81	15.51	14.52	-3.59	0.53

Source: Bloomberg